



CFA Institute

CFA Institute Research Challenge

hosted by
IASNA SOCIETY MOROCCO
ENCG El Jadida

The CFA Institute Research Challenge is a global competition that tests the equity research and valuation, investment report writing, and presentation skills of university students. The following report was prepared in compliance with the Official Rules of the CFA Institute Research Challenge, is submitted by a team of university students as part of this annual educational initiative and should not be considered a professional report.

Disclosures:

Ownership and material conflicts of interest

The author(s), or a member of their household, of this report holds a financial interest in the securities of this company.

The author(s), or a member of their household, of this report does not know of the existence of any conflicts of interest that might bias the content or publication of this report.

Receipt of compensation

Compensation of the author(s) of this report is not based on investment banking revenue.

Position as an officer or a director

The author(s), or a member of their household, does not serve as an officer, director, or advisory board member of the subject company.

Market making

The author(s) does not act as a market maker in the subject company's securities.

Disclaimer

The information set forth herein has been obtained or derived from sources generally available to the public and believed by the author(s) to be reliable, but the author(s) does not make any representation or warranty, express or implied, as to its accuracy or completeness. The information is not intended to be used as the basis of any investment decisions by any person or entity. This information does not constitute investment advice, nor is it an offer or a solicitation of an offer to buy or sell any security. This report should not be considered to be a recommendation by any individual affiliated with IASNA SOCIETY MOROCCO, CFA Institute, or the CFA Institute Research Challenge with regard to this company's stock.

ARD.CAS Overview

Target Price	453.14
Upside	11.84%
Last Close	404.32
Market Cap (In MMAD)	4 252
Shares Out (in Thousands)	10 646
52-Week High	410.52
52-Week Low	379.8
P/E (FY)	13.82x
P/BV (FY)	0.96x

Investment summary

We initiate a BUY recommendation for Aradei Capital with 12 months target price of 453.14 MAD, reflecting a 11.84% upside potential from last close of 404.32 on January 9th 2022. Our target Price is based on three different valuation methods, intrinsic and relative ones; Discounted Cash Flow (DCF) model and Dividend discount model (DDM) supported by relative valuation.

Aradei Capital is considered the biggest real estate investment company in Morocco with a market capitalization of over 4 billion MAD as of December 2021. We see the market underestimating 4 key catalysts about the Company: (1) Its heavy investment strategy to generate more cash flows (2) Its unique strategy to diversify its asset types along the whole country throw multiple industries (3) the quality of its management (4) and finally the big potential of real estate investment industry in Morocco.

1. Heavy Investment Policy

Aradei Capital Investment properties grew by 9.13% CAGR from 2015 to 2019 allowing the company to increase its revenues and attract more international investors (such as EBRD in 2015 and PIC in 2020). Just In the last two years the company was able to raise capital and invest 1.5 billion MAD in the acquisition of an OPCI (CLEO PIERRE SPI-RFA), owner of 103 bank's retail branches in Morocco leased to BMCI - BNP Paribas Group, and the acquisition of 51% of AKTIDAL holding, a leading player in the private healthcare sector in Morocco), plus tenants' extensions. Based on our estimates we expected a 3.77% CAGR over the forecast period of those properties.

2. Diversified Portfolio

The company is developing a unique strategy of diversifying its portfolio across different assets types; including mainly commercial real estate assets (Shopping Centers, shopping malls, Single Tenancy Assets), industrials, and offices. Moreover, across multiple industries; professional, industrial, education, banking, logistics, and private health, and finally across 22 cities in the kingdom of Morocco, small and big ones, which makes Aradei Capital a solid real estate company that showed resilience even during challenging periods (such as Covid-19).

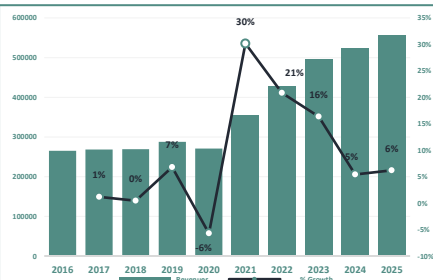
3. Experienced Management and Well-known Partners

Aradei Capital business strategy differentiates by its unique partnership with LabelVie Group which covers all the Label Vie Group's banners, namely the Carrefour and Atacadao banners, but also the Virgin Mega Store, Kiabi and Burger King banners), likewise its strong collaboration with various partners in different sectors including LC Waikiki/ /Decathlon, Adidas, Yazaki and BMCI. In addition, Aradei Capital relies on the expertise of REIM Partners in investment advice and supervision of rental management. The company adopt a mode of governance made up of a board of directors and specialized committees a which favor the criteria of (independence), expertise and transparency for better decision making, after that its Board of directors stands out by their high-quality education and expertise.

4. REITs are a growing industry in Morocco

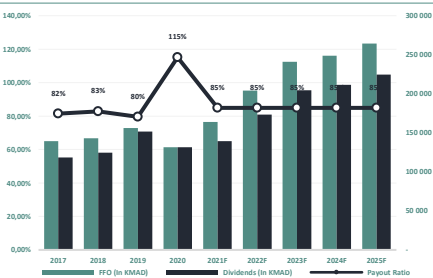
Operating in a country that expected to grow at 5.1%, the highest GDP growth rate on the continent in 2021. ARADEI Capital will benefit from Morocco's growth potential especially in the retail and real estate market, besides its investment attractiveness in terms of FDI being ranked 2nd most attractive country in Africa.

Company's Revenue Growth Projections



Source: Team Analysis - Company Data

Company's FFO and Dividends Projections



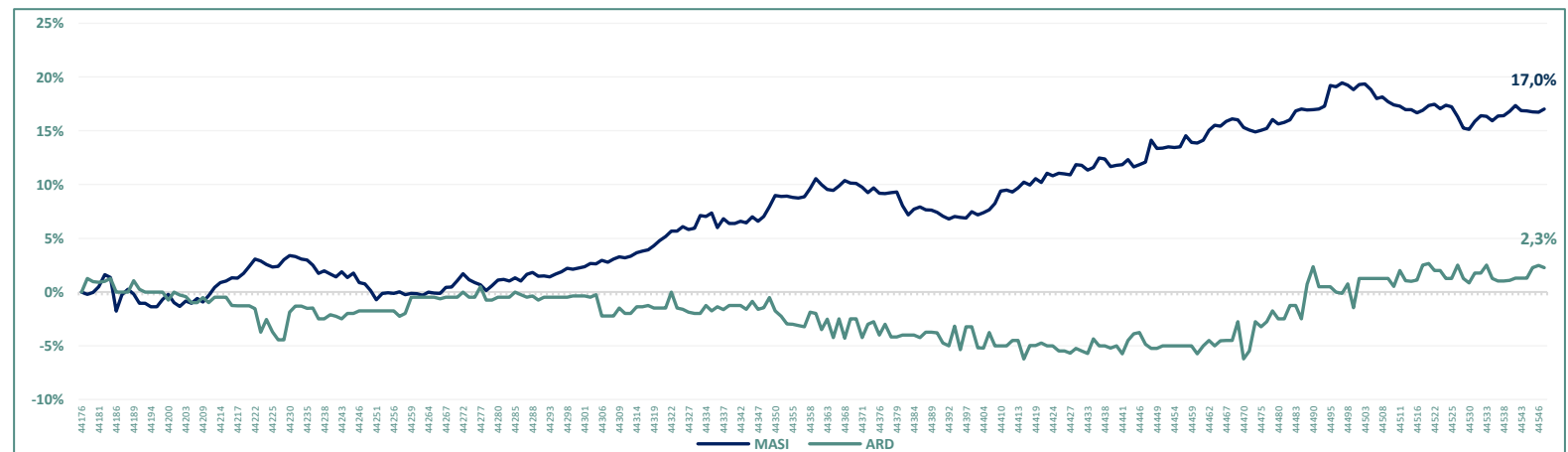
Source: Team Analysis - Company Data

Valuation Summary

Valuation Matrix	Weightings	Share Price
DCF Valuation Model	35%	443,14
Dividend Discount Model	35%	453,36
Relative Valuation	30%	464,55
Target Price		453,14

% Upside (Downside) **11,84%**

Exhibit 1: ARD performance vs MASI (All Moroccan shares index)



Source: Refinitiv

Business Description

Overview

Aradei Capital is a Moroccan real estate company founded in 1990 by the Dutch group SHV. From 2010 to 2016 the company was operating as a private commercial real estate vehicle of LabelVie Group until the entry of the European Bank for Restructuring and Development (EBRD) in its capital (see Appendix A1) leading to changes in the company's Business Model and governance. Aradei Capital is now listed on Casablanca Stock Exchange after its Initial Public Offering on December 14, 2020.

The company's real estate advisor is REIM Partners, an approved REIT manager (see Appendix B1), which assesses Aradei Capital in investment decisions and recommendations on the supervision of rental management. Besides, the company is supported by prestigious shareholders, such as the exclusive Moroccan franchise of Carrefour, LabelVie, with which Aradei capital has a unique partnership, The EBRD, SANAM, Best Financière, PIC of South Africa pension fund GEPI and BMCI BNP Paribas Group.

Business Model

Aradei Capital's business model is based on the acquisition/development of various real estate assets for the purpose of generating rental income. The company also owns a subsidiary, Aradei Real Estate Services, which specialized in property management & facility management of operating assets and in the implementation of development projects (see Appendix A2).

Aradei Capital is distinguished not just by its diversified portfolio across assets but also across cities all over the country, it owns a range of various asset types: Commercial assets including 3 Shopping Centers, 14 shopping malls, 8 Single Tenancy Asset, an Industrial asset (leased to Yazaki), and Offices; PRISM, a 103 bank branches portfolio OPCI leased to BMCI - BNP Paribas Group and managed by REIM Partners, and Private clinics, on the top of this its presence in 22 cities (see Exhibit 3) all over the kingdom of Morocco.

Company Strategy

Aradei Capital strategy focuses mainly on, firstly, growing and diversifying its real estate assets portfolio, characterized by a dynamic asset management and a policy of sustained investment and development aiming to ensure growth of the real estate market in Morocco (see Exhibit 2). The company aims to achieve that by the continuation of extension of exiting retail assets (retail parks), and the acquisition or development of different asset types, for instance, retail assets, offices, industrial assets in different sectors, including retail sector, financials, education, logistics and healthcare. This strategy was initiated with the acquisition of the first industrial asset leased to Yazaki, coupled with the launch of the first office building construction (PRISM), the acquisition of the OPCI (CLEO PIERRE SPI-RFA) owner of 103 bank's retail branches in Morocco leased to BMCI - BNP Paribas Group, and finally the acquisition of 51% of AKTIDAL holding, a leading player in the private healthcare sector in Morocco.

Secondly, Aradei Capital business strategy differentiates by its unique partnership with LabelVie Group which covers all the Label Vie Group's banners, namely the Carrefour and Atacadao banners, but also the Virgin Mega Store, Kiabi and Burger King banners alongside its strong collaboration with various partners in different sectors including LC Waikiki/Decathlon, Adidas, Yazaki and BMCI.

Environmental, Social and Governance

The property company has set up an internal monitoring committee dedicated to ESG. In addition, the ESG function is currently managed by the part-time Health and Safety Manager. At the start of 2021, Aradei Capital conducted a materiality study in accordance with AMMC circular n° 03/19 of February 20, 2019. For this, Aradei Capital is supported by an international firm expert in ESG (Utopies).

The main goal of this study is to identify and prioritize the Company's ESG issues through a participatory approach: a consultation of managers in order to identify the business importance of the issues and a consultation of a selection of stakeholders (employees, tenants, suppliers, real estate and retail experts, ESG experts, etc.) in order to understand their expectations.

Environmental

Waste sorting and pollution prevention: As one of the main players in real estate in the industry, Aradei capital strives to reduce the impact of its property's activities on the environment, both the effects related to the use of commercial assets and those related to the construction of projects. The company implement actions to generalize waste sorting and pollution prevention at the level of property assets, by a generalization of waste sorting between dry waste, wet waste, and by replacing all plastic water bottles with glass bottles.

Reducing Energy consumption: Aradei Capital Implement actions to control the energy consumption (water & electricity) of assets in operation, and reduce environmental impacts, on all assets the company separate between the sewerage network and the rainwater network for the protection and reuse of natural resources, they use wells as a water spray system to irrigate spaces green and for watering. At the end of 2019, the Aradei Capital sites were

Exhibit 2: Types of Assets as of October 2021



Exhibit 3: Geographical location of the assets

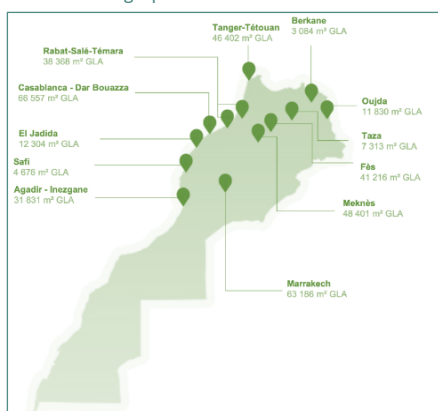


Exhibit 4: GLA and Occupancy rate

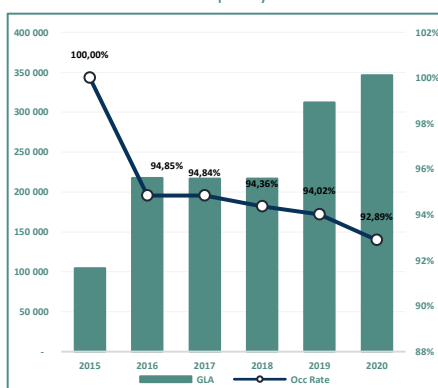
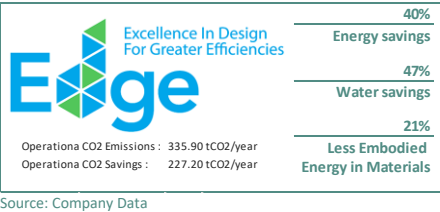


Exhibit 4: Edge Certification



60% equipped with LEDs. The target for 2020 was to reach 70%, the company ended up reaching at the end of 2020 92%. Aradei Capital plans to generalize the installation of solar panels like certain sites such as Atacadao Meknes. Several projects are under study: Yazaki, Borj Fès, Socco Alto.

Using environmentally friendly materials: The real estate company promotes the use of environmentally friendly materials in the activities of the property company, it advocates the use by its MOD providers of environmentally friendly materials and equipment, for example corian, wood, glass (non-toxic ecological materials).

Edge Certification: And been committed to environmental labeling and certification, ARADEI Capital signs its first office building that take into consideration the environmental design issues, the office building benefits from an environmental certification for its construction developed by the IFC (International Finance Corporation) becoming the only office in Morocco to have such a certification. All the components come together to make Prism a high-performance workspace (see Exhibit 4). It was designed on the basis of materials with very low emission of pollutants. The insulation chosen for the building envelope reduces air conditioning energy needs and the glazing covering the majority of the exterior facade allows the users to benefit from natural lighting throughout the day. Prism is also equipped with smart meters for measuring energy consumption by use. This facade benefits from an innovative glazing system and quality thermal insulation to make the Prism experience as unique as it is efficient.

Social

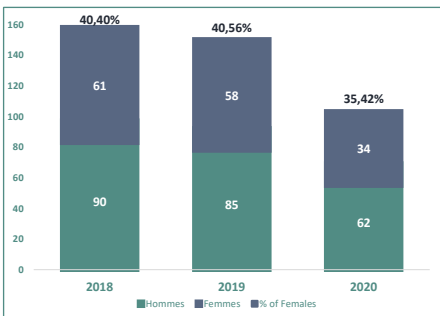
Aradei Capital places people at the heart of its strategy and invests in the management of social aspects in order to ensure safe and sustainable work on a daily basis combining performance and well-being. It also supports local associations, promotes local employment around its assets, participates in different social actions in its operating regions and involves the various stakeholders in its development projects.

Dynamic Human resources policy: Aradei Capital ensures the development of a dynamic human resources policy from recruitment to career management, including training, evaluation, the work environment and internal communication, these are the various components of the group's human resources management. HR policy aims to establish a corporate culture built on common values, as well as on the following principles: Equality, Merit, Mobility, Training, and Internal communication. For instance, the company commit to a recruitment policy that promotes internal mobility and the attraction of external profiles and which encourages diversity and talent, establishes a system which guarantees the safety of the employees on the sites, centered on the prevention of accidents, ensures a work climate that promotes the well-being of employees and the consolidation of company values, promotes female entrepreneurship and local associations / cooperatives by granting them temporary rental stands for certain assets.

Safety protection is a priority: At the level of the property's assets, Aradei Capital sets up policies and procedures for the management of construction service providers covering health and safety as well as working practices for each development project - The PPS "Safety prevention protection" is signed by the builder. They are meetings are organized every week during which any health and safety incident is raised.

Societal actions: Aradei Capital carried out several social actions, such as participating in actions with positive impact on locals in different regions by encouraging entrepreneurship, especially for women, by providing temporary rental stands for the sale of products from agricultural cooperatives, organizing solidarity villages within the assets of Almazar, Borj Fes, Socco Alto: a sales area made available to players from the world of crafts, local cooperatives, associations and micro-organizations -credit, and also promoting artistic initiatives with local actors. For example; realization of an emblematic sculpture within Sela Park Agadir by the Moroccan artist Mehdi Kessouane.

Exhibit 5: Gender of Aradei's Workforce



Source: Company Data

Governance

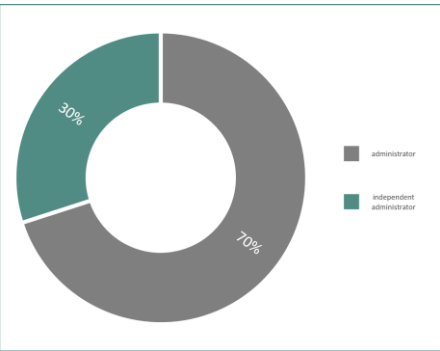
Aradei Capital has adopted a mode of governance made up of a board of directors and specialized committees (audit committee, investment committee, conflict committee) which favor the criteria of independence, expertise and transparency for better decision making.

REIM Partners: Aradei Capital relies on the expertise of REIM Partners in investment advice and supervision of rental management. The real estate asset management advisory mandate with REIM Partners was renewed in 2020 for a period of 10 years. For the operational management of the assets held by the company, Aradei Capital has a "Property manager" Aradei Real Estate Services (ARES). This wholly-owned subsidiary of Aradei Capital SA, ensures the operational management of assets as well as the management and execution of development projects.

The Board of Directors: Aradei Capital's Board of directors defines the strategic directions of the Company, and oversees the management of its activities. Hence the company's Board of Directors possesses knowledge and experience in various relevant fields strengthening Aradei Capital' position for future challenges and opportunities (See Appendix B2). The Board of Directors recognizes the advantages of diversity and parity in its broadest sense, both within governance bodies and in the operation of the property company. Diversity on the Board of Directors and senior management broadens perspectives, which promotes more effective discussions and better decision-making, for instance around 35% to 40% of Aradei Capital's board members are women (See Exhibit 5), all along with 30% of the total members are independent, although 70% of the Board of Directors are shareholders, they own very small number of shares (See Appendix B2).

Independence & proven expertise of specialized committees: The operation of each committee is framed by charters describing the role and prerogatives, operation, composition and decision-making of each committee.

Exhibit 6: Board of Directors independency



Source: Company Data

Investment Committee: It rules on investment and divestment opportunities in accordance with the investment policy adopted by the Board of Directors. This committee acts upstream of the relevant decisions to be taken by the Board of Directors and/or the Managing Director, 60% are independent members (See Appendix B4).

Conflict Committee: It provides independent advices and recommendations to the Board of Directors on all transactions. This Committee also considers any matter or transaction that could potentially create a conflict of interest submitted to it by the Company. Its composition rules prohibit any person linked to REIM Partners or representing the interests of one of the Company's shareholders from sitting on this Committee. The Managing Director does not sit on this committee, 66% are independent members (See Appendix B4).

Audit Committee: It assists the Board of Directors mainly in its control of: (i) internal control procedures efficiency and quality (including the financial aspect and risk management), and (ii) the integrity of financial information relating to the Company. It is responsible for the monitoring and examination roles referred to in article 106 bis of Law 17-95. The Managing Director does not sit on this committee, 100% are independent members (See Appendix B4).

Shareholders: Aradei Capital distinguished by a diversified base of institutional shareholders, the company gained brand recognition by having shareholders such as LabelVie, EBRD, BMCI BNP Paris bas ...etc. Though Best Financière owns around 51.7% (43% trough Label Vie group plus 8.7%) of the company shares, giving it the majority of voting rights, still the percentage have decreased from 2015 when Label Vie Group owned 100% of Aradei Capital.

Industry Overview and Competitive Positioning

Macroeconomic Dynamics:

Morocco, fastest growing economy in 2021 in MENA region: Having witnessed its worst recession in half a century in 2020, Africa's economy is forecast to grow by 3.8% in 2021 driven by; (i) rising global demand as restrictions are eased, (ii) untapped market opportunities, and (iii) a rebound in commodity prices, especially in oil prices. Morocco tops the list of the five fastest-growing economies in MENA region in 2021, based on Refinitiv & Global Data estimates, it expects the Kingdom to record a 5.19% growth rate (against 5.3% by WorldBank), the highest rate on the continent in 2021 (See Exhibit7).

Real Estate investments as a participation vehicle in growth: Morocco's GDP grew by more than 2.33% CAGR from 2015 to 2021, Since, economic growth is considered one of the main drivers of retail sector, and therefore of real estate rents and prices; real estate investments in this case will provide a participation opportunity for investors in the strong growth during the incoming five years that will exceed 3% to 4% annually on average (see Exhibit 7).

Confidence and optimism confirm growth: Industrial production and consumer confidence are two main drivers of GDP Growth. After the recovery from Covid-19 crisis, Industrial Production growth show strengths (see Appendix C3) in the Moroccan economy due to the different policies applied by the government during that period giving businesses a good opportunity to growth in a favorable environment, both in terms of monetary and fiscal policies. Consumer confidence, in the other hand is growing faster indicating that consumers feel more confident about the economic state of the country (See Appendix C2), driven mainly by household spending which soared by 6.6% comparing to the previous year (based on Fitch Solutions forecasts). They estimate a 3% YoY growth on average of real household spending in Morocco (See Exhibit 8).

In addition, food and drink spending, particularly via retail channels, is the largest category for Moroccan households with a percentage of 35% of their total spending, as a result, growth in this category will step up by 3.5% YoY, against a growth pf 4.1% 2020.

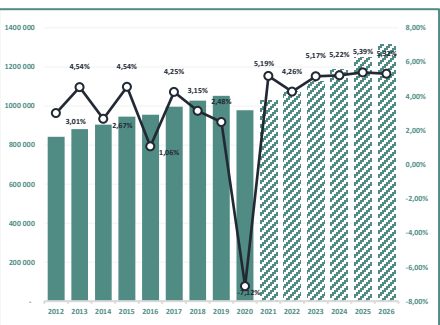
Money Supply is still stimulating growth: Even though the country's GDP level is higher than pre-pandemic levels, the central Bank is still injecting money in economy to stimulate growth (See Appendix C4), alongside an expansionary monetary policy by decreasing interest rates by 75 basis points to reach 1,5% with the aim of achieving pre-pandemic levels of unemployment rate.

Morocco's Investment attractiveness presents big opportunities: Morocco is the second most attractive country for investment in Africa (According to RMB; Rand Merchant Bank), and that's driven mainly by the relatively low cost of labor, its strategic location between Europe and Africa, its good infrastructures and finally the stability of the country's currency and political framework. Therefore many companies showed their interest to invest in Morocco: such as the Japanese corporation Yazaki, a client of ARADEI Capital since 2019, which is planning to invest \$52.2 million for the expansion of its activities in Morocco through the setting of three new plants in Tangier, Kénetra and Meknes, the Innovative electric car manufacturer Tesla which is making its way to Africa by quietly installing its first "supercharger" charging stations in Morocco, the south Korean automotive company Hyundai which has decided to leave Algeria and consider investing in Morocco, and finally the automotive manufacturer Opel, which has reportedly threatened to relocate part of its operations to Morocco from Germany's Russelsheim.

Trends in Commercial Real Estate

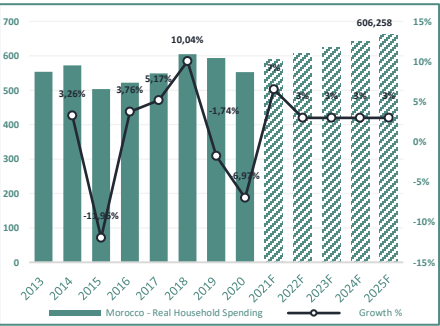
REITs as a new investment instrument in Morocco: The real estate investment schemes (OPCI) were recently introduced in Morocco in 2015 for the purpose of construction or acquisition of real estate assets with a view to leasing them to a third party and generate long term return. These real estate investment schemes are expected to

Exhibit 7: Moroccan GDP Growth YoY Projections



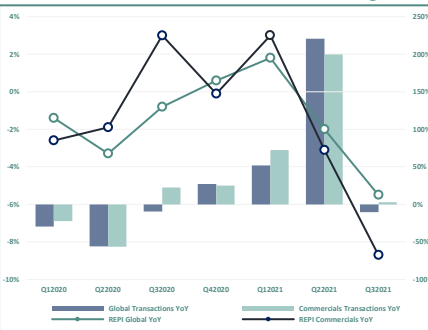
Source: Refinitiv

Exhibit 8: Real Household Spending Projections



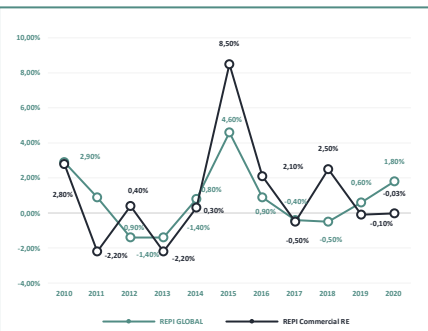
Source: fitchsolutions

Exhibit 9: Real Estate Prices and Transactions growth



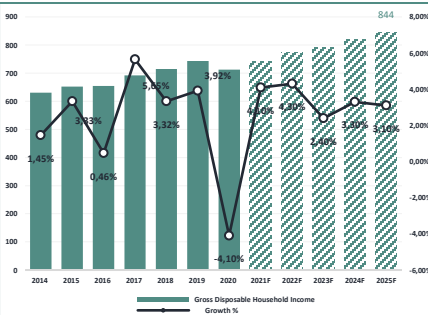
Source: Company Data

Exhibit 10: REPI Global VS REPI Commercial



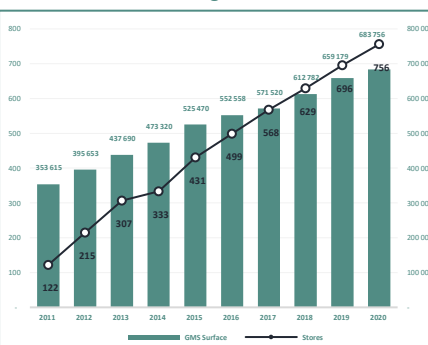
Source: Bank Al Maghrib

Exhibit 11: Gross Household Income



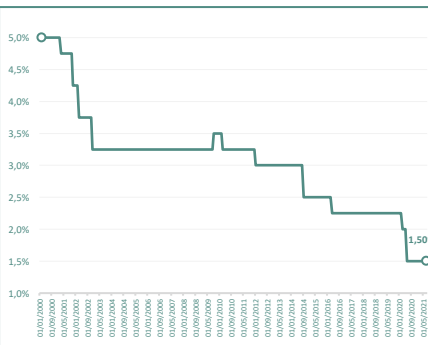
Source: fitchsolutions

Exhibit 12: GMS surface growth



Source: Company Data – Team estimates

Exhibit 13: Moroccan Interest rates



Source: Refinitiv – Bank Al Maghrib

boost the real estate sector further and create significant portfolios in Morocco, which will attract foreign investors in the coming years.

Real estate as one of the most attractive sectors of FDI: Real estate has always been an attractive investment option in Morocco, the sector has garnered the highest level of FDI in the kingdom, at around 40% of the total in 2019, and 22% in 2020 after industrial sector (See Appendix C8) due to the crisis impact. With a new fiscal framework expected to be introduced with the passing of the next fiscal bill, we expect the sector to attract higher levels of FDI in the future. Furthermore, the law is set to help regulate the market and prevent excessive speculation by investors. Regionally, it is exactly the country's political and economic stability that has made it increasingly attractive for international retail brands. Plus, it's high COVID vaccination rates make it a relatively safer investment destination for companies looking to expand onto the African continent.

Real estate Prices are plummeting pushing transactions up: After their decline in 2020, prices went down by 2% and 5.5% in the second and the third quarter of 2021 respectively compared to the same periods of previous year (YoY) (See Exhibit 10). Besides that, the economic recovery and back-to-normal perspective are encouraging investors to take on more transactions in the real estate sector as a means of retaining capital. In the other hand, commercial real estate transactions have advanced by 72%, 199.9% and 2.8% in the first three quarters of 2021 compared to 2020 (See Exhibit 9), our explanation of this is based on the measures initiated by the kingdom of Morocco to boost the sector, namely the suspension of the real estate price benchmark by the DGI and the abolition of registration fees extended by law of corrective finances from 2020 until June 2021.

Vacancy rates decline while rents are stable: Average rents of mall-based retail remained stable in 2019 while vacancies declined to 7% from 9% recorded in the same year. Despite the low vacancies observed in the market, the business model of some shopping malls starts to show its limits and several retailers express their concern about declining sales. Moreover, the growth of online shopping and the intense competition from street retail lowers growth prospects for shopping malls.

Supply

Rising retail perspective: The commercial real estate sector is forecasted to have a positive outlook in the future, in the midst of different plans and programs, such as RAWAJ 2020, being implemented by the state to stimulate economic growth and strengthen the purchasing power of households, the number of shopping malls and commercial buildings is forecasted to increase. By 2022 seven new malls are expected to reach completion, leading to a total number to 18, and most importantly, doubling the amount of commercial retail space available in the country.

Building Construction growth presents an opportunity: According to a report by Global Construction Survey, the building construction industry in Morocco is expected to record a CAGR of 12.4% to reach MAD 129.6 billion by 2024. The residential construction industry in value terms increased at a CAGR of 4.6% during 2015 to 2019 period. The commercial building construction market in value terms is expected to record a CAGR of 11.1% over the forecast period.

More supply added and coming: Total mall-based retail stock reached approximately 190,000 sq m² by the end of 2019, with the completion of Le Mercato d'Anfa in Dar Bouazza and the partial opening of Sela Plaza by Aradei Capital in the same area. More retail facilities are shifting to the city edges owing to the growing population and the migration flows from the city center. The expected future supply will add around 155,000 sq m² of retail GLA to the market by the end of 2022, with notable projects including the expansion of Marjane Californie, Aeria Mall in Casa Anfa and Zenata Shopping Centre which accounts for more than 40% of the expected future supply. Although some shopping malls may experience completion delays, the total mall-based retail stock is expected to reach approximately 345,000 sq m of GLA by the end of 2022. Moreover GMS (Grandes et moyennes surfaces) is growing at a CAGR of 7.6% from 2011 to 2020 reflecting a solid growth this sector has been experiencing this last decade in the Kingdom of Morocco (See Exhibit 12).

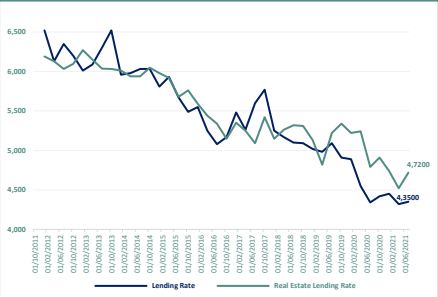
Housing Market

The real estate Industry is one of the most profitable investment sectors in Morocco, because it carries high assurance of good returns. The rate of development of real estate has been increasing for several years and is observed in the presence of many foreign investors in the country. Multiple Moroccan cities are experiencing rising growth and possess solid infrastructures that are conducive to this type of investment. However, the Moroccan housing market is slowing down due to the downturn in economic growth, real estate prices are falling pushing transactions up.

Rental yields are around 6% to 8%: the returns on property investment in Morocco are attractive. Being a country characterized by its investment attractiveness, plus its political stability and rapid economic growth. Real estate sector is still at its early-stage growth. Therefore, we estimate rental yields of REITs to range between 6% to 8% in the coming years reflecting our optimistic view of the sector and country growth.

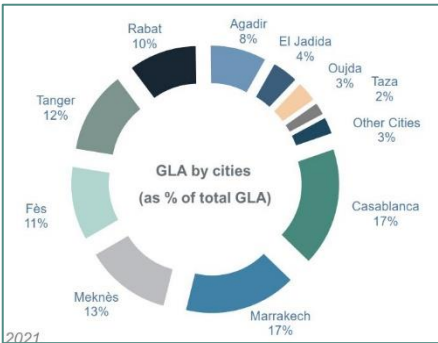
Interest rates & Lending rates stimulating Real estate credits: The Moroccan central bank has held rates around 1.5% and easing monetary policy during the Covid-19 pandemic to simulate the economic recovery. Both lending rates and real estate lending rates are at their all-time low from 2010, around 4.35 and 4.72 respectively (See Exhibit 13 & Exhibit

Exhibit 14: Real Estate Lending Rates



Source: Bank Al Maghrib

Exhibit 15: Geographical distribution of Assets



Source: Company Data

14), which is encouraging investors and companies to invest in real estate. At retail, housing credits increased by 1.8% while housing crowdfunding increased by 46.9% according to CAHF.

Real Estate loans to corporations: Bank loans are growing faster, especially after the growth Morocco have been achieved in 2021, adding almost 26 billion MAD to achieved 982 billion MAD in September 2021. Real estate bank loans constitute about 30% of all bank loans distributed to corporations (See Appendix C7).

Building and Construction Permits: Construction Permits shrunk in 2020 due to the pandemic to reach 23 942 from its previous level at 46 995. Including 4.38% for commercial real estate. We Forecast that those metrics will grow at an ACGR of 18% from 2020 to 2025 (See Appendix C5).

Competitive Positioning

Diversified Portfolio: Aradei Capital is the only real estate company that is distinguished not just by its diversified portfolio across assets but also across cities, it owns a range of various asset types, Commercial assets (3 Shopping Centers, 14 shopping malls, 8 Single Tenancy Assets), Industrial asset (leased to Yazaki), and Offices (PRISM, a 103 bank branches portfolio OPCI leased to BMCI - BNP Paribas Group, and Private clinics), all that with a presence in 22 cities all over the kingdom of Morocco.

Strategic locations: Aradei Capital real estate assets are present in 22 cities across Morocco, not just in the biggest ones such as Casablanca, Tanger, Marrakech but also medium and small ones, including El Jadida, Taza and Berkane. The company's assets are characterized by their attraction of well-known national and international brands and also their territories, close and accessible to tenants and customers.

Major Partners: Aradei Capital benefit from unique partnerships with one of the Major Retailers in Morocco, LabelVie besides BMCI, which is a subsidiary of BNP Paribas, a European pioneer in the OPCI sector. BMCI was aimed to contribute to the emergence of this new asset class, by providing strategic agencies from its Retail and Corporate businesses. This transaction is a pledge of confidence in Aradei Capital's ability to meet the performance standards of the French group. This confidence was also materialized by the acquisition of a stake by BMCI almost 5% of the company's capital. In addition to many others; Decathlon, LC Waikiki, BugerKing, Adidas, and Yazaki.

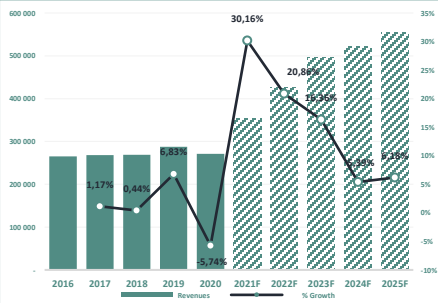
Aradei Capital is leading GMS segment in terms of market share: alongside of GMS (Grande et Moyenne Surface) Aradei Capital is the leader in shopping centers segment owning 95 000 sqm, almost 20% of the Market share with its biggest centers. For instance, Borj Fez, Almazar, Socco Alto (See Appendix C9).

High entry barriers into Real Investment Management: the entry of new businesses into the real estate industry can bring many challenges, such as 1) economies of scale; If the business has been in the area for some time, they are at an advantage. They would have grasped a better understanding of the existing economy, 2) maintaining strong customer loyalty; New companies will also find it difficult to penetrate the existing market if barriers to entry such as brand proliferations are protecting the dominant businesses, 3) Financing is difficult with higher capital requirements, 4) and finally Brand recognition and partners attractiveness.

Major Competitive Players: Real estate industry is highly competitive, especially with presence of some private companies specialized in retail RE (such as Marjane Holding and Aksal Group) and in Offices such as Immorente. In the near future they may plan to diversify their portfolios exposing Aradei Capital to a highly Competitive risk.

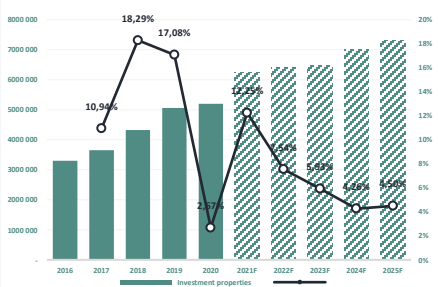
Financial Analysis

Exhibit 16: Company's Revenue Growth



Source: Team Analysis - Company Data

Exhibit 17: Company's Investment Properties Growth



Source: Team Analysis - Company Data

Revenue growth and Margins

Aradei Capital's revenues grew up by 6.07% CAGR from 2011 to 2019 (The CAGR went down to 4.78% because of Covid-19 Crisis Impact), we expect revenues to grow more in the next five years, by 9.49% CAGR due to, mainly, its asset heavy investment strategy giving the fact that investments of the company grew up by 9.15% CAGR from 2015 to 2020, and estimate investments to continue growing by 3.77% CAGR in the next 5 years.

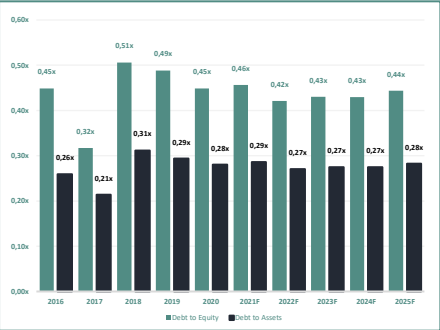
EBITDA Margin is almost stable, ranging from 78% to 82%, owing to the company's ability to manage its operating expenses properly despite evolving challenges, against 24.5% EBITDA Margin of the industry, the company's margin outperforms its peers. We estimate an EBITDA of 81% in the forecast horizon. In the other hand EBIT Margin is quite volatile being impacted by the fair-value of the company's assets, despite that, Aradei's EBIT exceed 96% from 2016 to 2019 except 2020 because the Covid-19 Crisis, but still above industry average.

Dupont Analysis and financial metrics

Besides the profitability of Aradei Capital, the company outperforms its industry peers in terms of liquidity, with both Current and Quick ratios above 1.5 (on average) making it credit-worthy if the company plans to take on more debt to materialized its heavy investment strategy (See Exhibit 17).

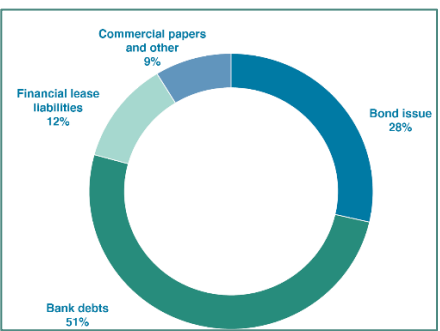
Moreover, Debt to Equity, Debt to assets, and debt to EBITDA are lower than industry median. Debt to assets is around 0.24 which is reflecting a good perspective on Aradei Capital, meaning that only 25% of the company's assets are financed by Debt (See Exhibit 18).

Exhibit 18: Debt to Equity & Debt to Assets



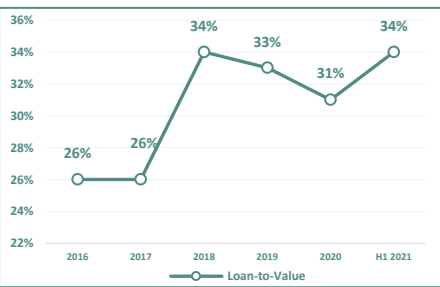
Source: Team Estimates - Company Data

Exhibit 19: Aradei's Debt Distribution



Source: Company Data

Exhibit 20: Loan-to-Value Ratio



Source: Company Data

Exhibit 21: DCF Summary

Present Value	
Last Free-Cash Flow	310 731
Growth Rate	2,00%
Terminal Value	7 546 702,61
Net Present Value of TV	5 586 489
Total Net Present Value of CF	999 472
Net Debt	1 868 313
Equity Value	4 717 649
Share Outstanding	10 646
Estimated Equity Value per Share	443,14
% Upside (Dwonside) to last close	9,42%

Source: Team Analysis - Company Data

	Industry Median	2016	2017	2018	2019	2020	2021F	2022F	2023F	2024F	2025F
Dupont Analysis											
Return on Equity	7,66%	5,3%	13,9%	10,0%	5,2%	0,23%	5,9%	7,1%	7,9%	7,9%	8,0%
Return on Assets		8,3%	6,0%	5,5%	5,2%	4,5%	5,2%	6,0%	6,7%	6,7%	6,8%
Gross Margin	37,75%	81,6%	80,5%	82,7%	82,0%	78,9%	81,3%	81,2%	81,4%	81,1%	80,9%
Operating Margin	24,02%	96,1%	195,3%	179,1%	114,1%	48,9%	123,6%	121,1%	118,4%	116,6%	115,9%
Net Margin	12,38%	63,9%	159,2%	141,3%	74,1%	6,5%	87,3%	89,4%	90,4%	89,1%	88,9%
Interest Burden	-	87,3%	91,4%	89,7%	84,3%	51,1%	84,2%	85,7%	86,6%	86,2%	86,1%
Tax Burden	-	66,5%	81,5%	78,9%	65,0%	13,3%	70,7%	73,8%	76,4%	76,4%	76,7%
Assets Turnover	0,14	0,06	0,06	0,05	0,05	0,04	0,05	0,06	0,06	0,07	0,07
Leverage Ratio	-	1,59	1,60	1,56	1,64	1,63	1,60	1,58	1,56	1,56	1,57
Liquidity Ratios											
Current Ratio	1,17x	1,09x	1,37x	1,63x	0,95x	1,47x	1,04x	1,15x	1,62x	1,19x	1,35x
Quick Ratio	0,53x	1,04x	1,28x	1,55x	0,87x	1,36x	1,60x	1,80x	1,67x	1,67x	1,62x
Cash Ratio		0,68x	0,70x	0,98x	0,20x	0,82x	0,94x	1,05x	0,94x	0,92x	0,88x
Solvency Ratios											
Debt to Equity	0,90x	0,45x	0,32x	0,51x	0,49x	0,45x	0,39x	0,38x	0,37x	0,36x	0,36x
Debt to EBITDA	5,02x	5,27x	4,44x	7,45x	7,09x	8,43x	5,99x	5,04x	4,47x	4,33x	4,22x
Debt to Assets		0,26x	0,21x	0,31x	0,29x	0,28x	0,24x	0,24x	0,24x	0,23x	0,23x
Debt to Capital	-	0,31x	0,24x	0,34x	0,33x	0,31x	0,28x	0,27x	0,27x	0,27x	0,26x

Source: Team Estimates - Refinitiv

Debt and Financial Leverage

Aradei Capital's Debt Structure characterized by about 50% % of the company's debt are bank loans (See Exhibit 19), which could impose some restrictions, and therefore could impact the company's investment policy in the future. Followed by 28% financing through Bonds issuance, the ratio went up after the issuance of 600 million MAD in 2018. Plus, Issuance of two commercial bonds' lines for 250 MMAD with maximum capacity of 500MMAD, allowing the company to pursue its asset development program alongside with the 1 billion MAD came from its Initial Public Offering in 2020.

Financial leverage ratio went down in 2020 especially after the Aradei Capital's IPO in December 2020, the lowest in the last 5 years, indicating that the company starts relying less on debt to finance its assets acquisition, and it will pay less interest to debt-holders.

The company still have the capacity to take on more debt to satisfy the internal investment policy and maintain good level of growth throw out the forecast horizon, as long as Debt to equity is below 0.4 and Debt to assets do not exceed 0.25x.

LTV ratio went up to 34%, its previous level back in 2018, it still way below Aradei capital's internal policy, which is 60%. That implies a lower level of exposure to default risk for financial institutions giving the company more free-room to raise debt capital for the future (See Exhibit 20).

Valuation

Our Price target of 453,14 is based on the weighted average of the combination of intrinsic and relative valuation methods including Discounted Cash Flow Model (DCF) with 35% weight, Dividend Discount Model (DDM) with 35% weight and comparable valuation method with 30% weight.

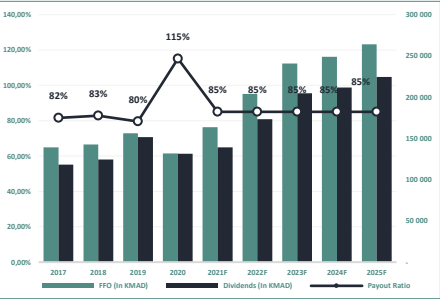
DCF Valuation

Based on our DCF Model, we issue a **BUY** recommendation of Aradei Capital's equity, it's Fair Value is 443,14 MAD per share (See Exhibit 21), representing a 9,42% upside from its closing price at 09 January 2022 (404.55 MAD). Our two-stage DCF Model is based on a 5-year forecast horizon and a terminal value of the company with a terminal growth rate of 2%. Because of the positive Free Cash Flows the company generates and the good visibility we have on the company's investment policy, revenues projections and its economic outlook we gave it a 35% weighting.

WACC Assumptions	
Risk-Free Rate	2,49% Moroccan 2Y average of 10-year Treasury bill rate
Market Risk premuim	Market Risk Premium was determined based on the average between 4 proxies with 6,46% different weighting (see Table below).
Levered Beta	0,79 Management team
Cost of Equity	7,60% The Cost of Equity was calculated using CAPM Model
Cost of Debt	4,80% CFG Research
WACC	6,20%

We have supported our DCF Model with a sensitivity analysis to test its strengths giving different values of Terminal Growth Rate and Weighted Average Cost of Capital (WACC). It shows a great margin of safety of Aradei Capital Stock Performance.

Exhibit 22: FFO and Dividends Projections



Source: Team Analysis - Company Data

Exhibit 24: DDM Summary

Sum of PV of Dividends	788 316
Terminal Value of Dividends	4 038 195
Equity Value	4 826 510
Shares Out	10 646
Stock Price	453,36
% Upside (Dwonside) to last close	11,94%

Exhibit 25: Comparable Analysis

	P/E (FY)	P/BV (FY)
25th Percentile	348,70	299,70
Industry peers Median	482,32	446,78
75th Percentile	760,64	526,40
Target Stock Price		464,55
% Upside (Dwonside) to last close		14,70%

		Terminal Growth Rate						
		1,40%	1,60%	1,80%	2,00%	2,20%	2,40%	2,60%
WACC	5,20%	525,80	560,64	599,58	643,40	693,05	749,80	815,28
	5,45%	481,05	511,33	544,93	582,43	624,54	672,17	726,49
	5,70%	441,52	468,05	497,30	529,71	565,83	606,32	652,04
	5,95%	406,34	429,75	455,42	483,68	514,96	549,76	588,72
	6,20%	374,84	395,63	418,30	443,14	470,46	500,65	534,20
	6,45%	346,47	365,03	385,19	407,16	431,20	457,62	486,78
	6,70%	320,78	337,44	355,47	375,03	396,32	419,60	445,15
	6,95%	297,42	312,44	328,64	346,14	365,12	385,77	408,31
	7,20%	276,07	289,68	304,30	320,05	337,05	355,47	375,49

Dividend Discount Valuation

We performed a Dividend Discount Valuation of Aradei’s Capital shares. Our model gave an intrinsic value of 453 MAD, representing an Upside of 11.94% from its closing price at 09 January 2022 (See Exhibit 24). Our Model is based on the legal minimum payout ratio for Real estate companies in Morocco, which 85% of Funds from Operations (FFO). Hence, the dividend yield grew by 7.5% CAGR from 2015 to 2020 and we estimate that it will continue its growth in the future, making Aradei capital’s stock, an attractive investment. We strongly believe that DDM is highly relevant to ARD given the nature of the business model alongside with the regulatory aspect of minimum distribution of Dividends. By assuming a 6.2% Weighted Average Cost of Capital and a terminal growth rate of 2% as the company still a very small market cap Moroccan real estate corporate with highly potential growth.

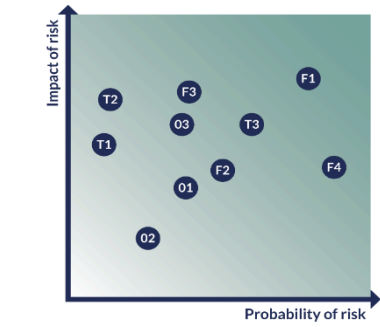
Relative Valuation

We performed a relative valuation-based multiples derived from analysis of P/E and P/B, which resulted a value of 464 MAD, relative peers were selected based on (i) the size in terms of Market Capitalization and (ii) the Business Model of the companies alongside oh their portfolio that has to be at least 50% of Commercial real estate assets.

P/E (1YF): we gave 40% weighting of P/E Ratio, because of the impact of the change in Fair Value of investment properties that have an impact of almost 50% on the company’s net income. We estimate ARD forward P/E to be at 13.82x P/E, representing a 21% discount relative to the comparable median (around 16.74x) which implies a share price of 482.32 MAD.

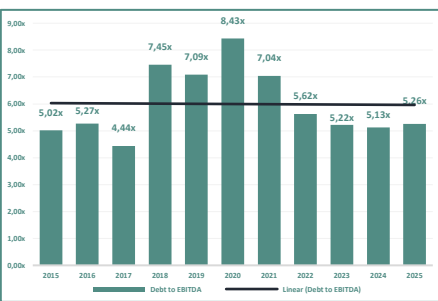
P/B (1YF): we gave 60% weighting of P/B ratio, which we believe will be relevant to value real estate companies, as their balance sheet is a key driver of earnings generation. We estimate a P/B of ARD at 0.96x P/B multiple, representing 5% discount relative to industry peers of 1.01x.

Exhibit 26: Risks Matrix



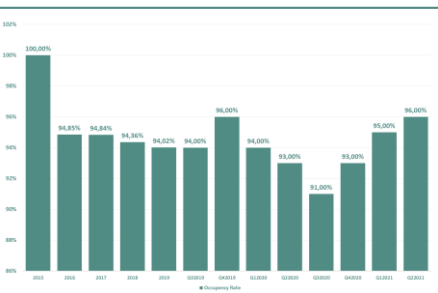
Source: Team Analysis - Company Data

Exhibit 27: Debt to EBITDA



Source: Team Analysis - Company Data

Exhibit 28: Aradei Capital Occupancy rate



Source: Team Analysis - Company Data

Investment risks

Financial risks

Aradei Capital is exposed to the retail sector, therefore it is dependent to the macroeconomic environment and the financial condition of the tenants. In order to diversify its real estate offer, Aradei Capital intends to invest in the development of new asset classes, particularly in commercial, professional, and industrial real estate.

[F1] Financial Risk | fluctuations in the value of property assets

ARADEI CAPITAL is exposed to the risk of fluctuations in the value of property assets and rents. Those fluctuations may have a significant impact on the company's business, incomes, solvency and development perspective. The appraised value of the assets depends on the balance between the supply and demand of commercial premises by real estate investors. In addition to the economic environment in general, the availability of modern real estate assets, the level of interest rates and the ease of loan issuance are key business drivers in this segment, which are independent from Aradei Capital and difficult to predict. Fluctuations in the valuation of real estate assets may have an upward or downward impact on the Company's profitability in the context of the financial statements published under IFRS, and in particular on operating income, which includes changes in the fair value of investment properties.

[F2] Financial Risk | Rents fluctuation risk

At the expiry of existing leases, which may be renewed, Aradei Capital is subject to the vagaries of the rental market for the re-renting of vacated premises. In this competitive market, macroeconomic conditions, particularly changes in business activity, have an impact on the length of time required to relet premises and, on rental value. The possible adaptation of premises to demand may, in certain cases, result in a prolonged vacancy period for the assets.

[F3] Financial Risk | Liquidity Risk

Aradei Capital finance its development projects through bank borrowings. Furthermore, the company's Loan to value ratio is up to 34% in H12021, in order to improve its return on equity, the group will finance its development program through borrowing and will thus be exposed to liquidity risk. Financing needs and conditions are studied at each acquisition. The same applies to the monitoring of contractual obligations related to existing debt "covenants". A significant and lasting restriction in the conditions of access to banking and/or capital markets could hinder the development of Aradei Capital. Access to credit is conditional, for banking resources, on the respect of several financial ratios concerning in particular the balance sheet structure (LTV) and the capacity of the activity to cover its debt load. These ratios are passed on to the banks in accordance with contractual commitments.

Mitigant: Aradei Capital have implemented a limit of 60% for LTV ratio in order to take over the control of existing Debt & interest payments.

[F4] Financial Risk | Interest rate risk

The risk associated with changes in interest rates can affect the cost of servicing debt. In addition, in the event of a potential rise in interest rates on future debt, Aradei Capital will adjust the capitalization rates used to value these assets to be acquired and financed by debt accordingly. The evolution of Bank Al Maghrib's key interest rate may lead to a change in interest rates resulting, if necessary, in an increase in the cost of financing. To finance its investments, Aradei Capital can resort to floating rate loans, and therefore subject to both upward and downward fluctuations in rates.

Mitigant: Aradei Capital diversify its interest payments between fixed and variable interests aiming to reduce its exposure of interest rates fluctuations.

Operational Risks

[O1] Operation Risk | Risk related to rising land costs

The upward trend in land prices in urban areas is a trend observed in recent years due to the pressure exerted on land supply by a demand that is constantly increasing in line with population growth. However, the formation of rent prices takes into account the cost of land. In addition, as part of its development strategy.

Mitigant: Aradei Capital focuses on the developing of its land reserves in order to improve its operating assets. The cost of land is naturally monitored and rigorously tracked in order to identify good investment opportunities.

[O2] Operation Risk | Vacancy risk

Aradei Capital has 29 assets including 7 independent assets with an occupancy rate of almost 96%. The lowest occupancy rate for the shopping centers, galleries and industrial unit (14 assets) is around 58%. The vacancy risk (loss of income resulting from the non-letting of the property between two tenants) is taken into consideration in the development plan, which is based on very conservative assumptions.

Mitigant: The Commercial Department of REIM Partners aims to diversify the portfolio of potential tenants, taking into consideration their business sectors, the reputation of their brand and their solvency in order to mitigate this kind of risk.

[O3] Operation Risk | Client risk

Benefiting from a client portfolio concentrated on the subsidiaries of the Best Financière Group, Aradei Capital is exposed to client credit risk and occasional payment defaults or delays cannot be excluded. The creditworthiness of clients is assessed at the time of signing the leases by the General Management of Aradei Capital on the basis of payment history for clients already in the portfolio and creditworthiness analyses for new clients.

Mitigant: During the term of the lease, the client credit risk is regularly monitored by Aradei Capital's Asset Management.

Other Risks

Legal and regulatory Risk | Building Permits and safety issues

Aradei Capital must comply with numerous regulations in various fields, including urban planning, construction, operating permits, health and safety, environment, lease law, corporate law, and taxation, particularly through the provisions in force. Variations in the regulatory framework could require Aradei Capital to adapt its business, assets or strategy, which could affect the value of its assets, financial position or results, increase expenses or slow down or even prevent the development of certain investment projects.

Capital Structure Risk | One big shareholder owns more than 50%

the Best Financière group hold 51.7% of the capital and voting rights of Aradei Capital SA. It is likely to exert a significant influence on the general meetings of shareholders allowing it to adopt or reject the proposed resolutions.

Competitive Risk | High competitiveness

The professional rental real estate market is a capital-intensive business activity but one that does not present any regulatory barriers to entry, which is increasingly attracting the interests of national and international operators. However, the arrival of new operators in the professional rental real estate sector would not have a major significant impact on Aradei Capital's revenues given the geographical diversity of its assets.

Appendix Summary

Appendix A: Business Description

Appendix A1: Aradei Capital's History

Appendix A2: Aradei Capital's Shareholders

Appendix B: Environmental Social and Governance

Appendix B1: Aradei Capital's Entities

Appendix B2: Board of Directors of Aradei Capital

Appendix B3: Committees of Aradei Capital

Appendix B4: Indecency of Committees of Aradei Capital

Appendix B5: Seniority of the workforce

Appendix C: Industry Overview and Competitive Positioning

Appendix C1: Moroccan GDP, Quarterly Forecasts

Appendix C2: Consumer Spending in Morocco

Appendix C3: Real Estate Bank Loans in Morocco

Appendix C4: Morocco Industrial Production

Appendix C5: M2 Monetary aggregates growth in Morocco

Appendix C6: REITs Return on Equity

Appendix C7: FDI by Sector in Morocco

Appendix C8: Unemployment rate in Morocco

Appendix C9: GMS of all major market participant

Appendix C10: REITs in Morocco

Appendix C11: Morocco's Investment attractiveness

Appendix D: Financial Analysis

Appendix D1: Aradei Capital Net and Gross Margins projections

Appendix D2: Aradei Capital ROE and ROA projections

Appendix D3: Aradei Capital P/E and P/B projections

Appendix D4: Aradei Capital EPS projections

Appendix E: Valuation

Appendix E1: Income Statement

Appendix E2: Balance sheet

Appendix E3: Cash Flow Statement

Appendix E4: DCF Model

Appendix E5: Monte Carlo Simulation

Appendix E6: Dividend Discount Model

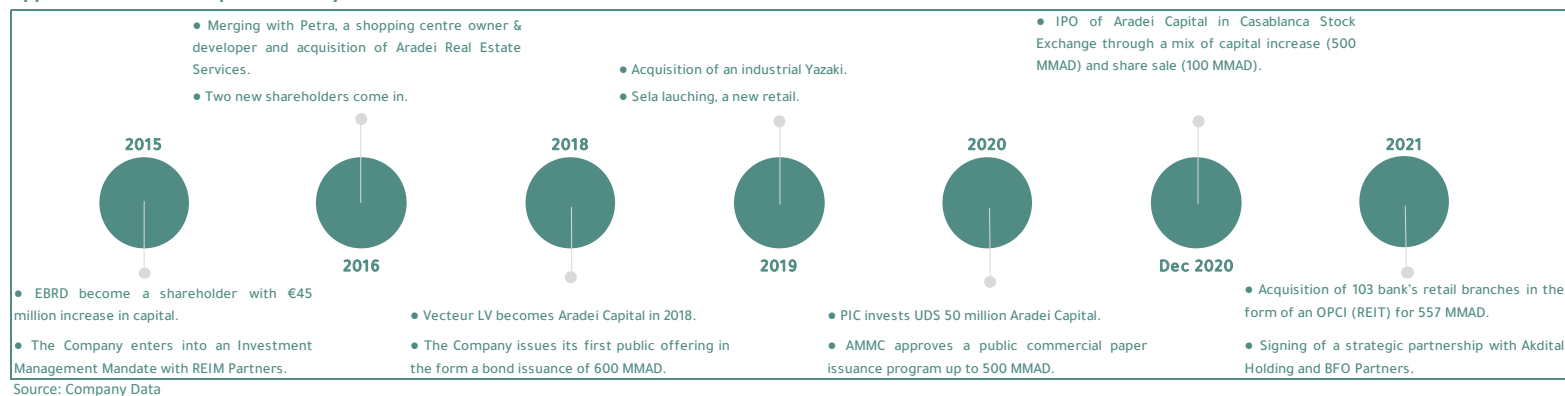
Appendix E7: Relative Valuation Model

Appendix E8: Regression Analysis

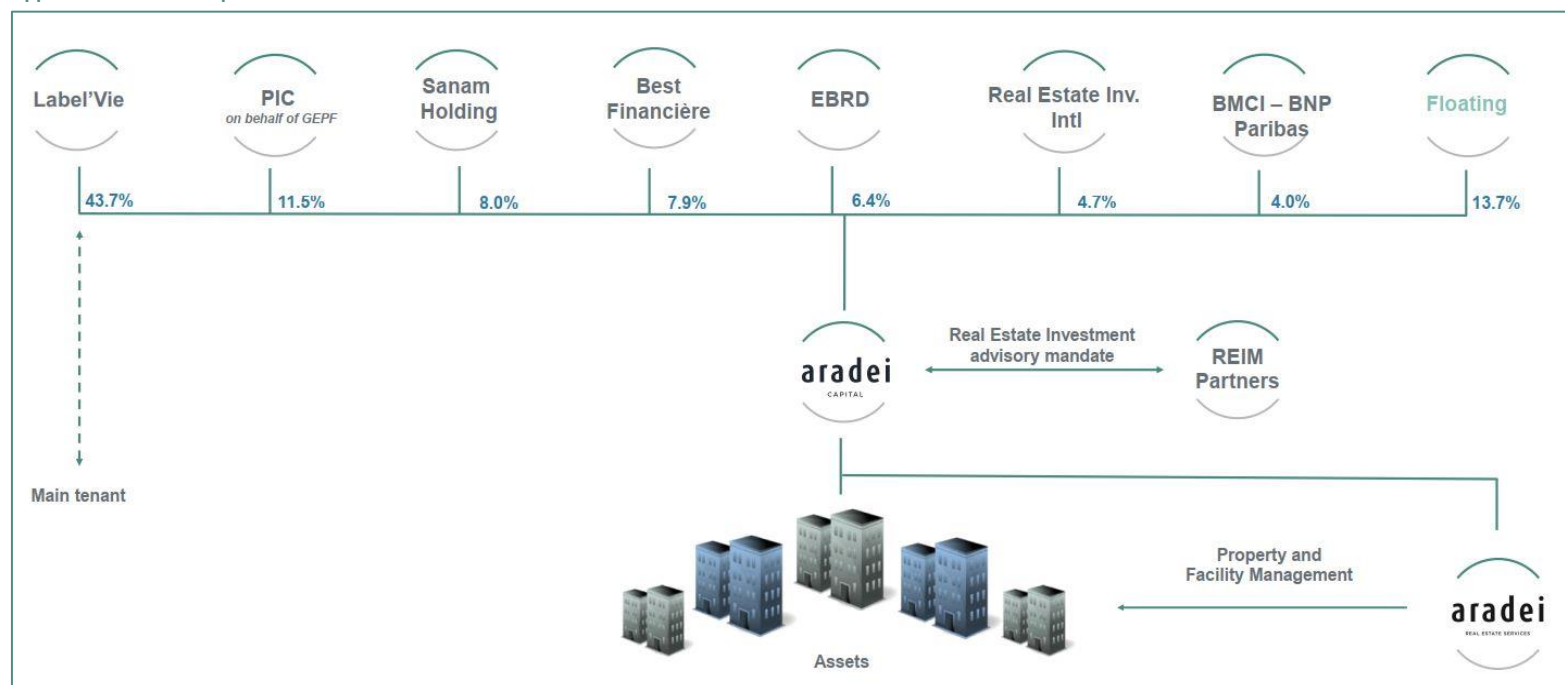
Appendix E9: Scenario Analysis

Appendix G: Bibliography

Appendix A1: Aradei Capital's History



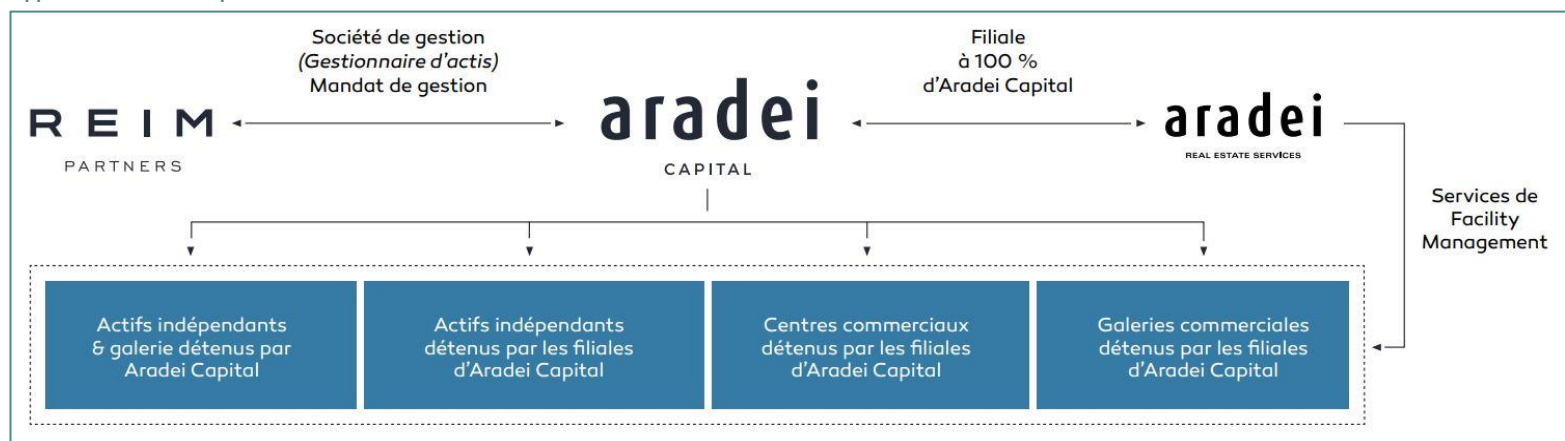
Appendix A2: Aradei Capital's Shareholders



Source: Company Data

Appendix B: Environmental Social and Governance

Appendix B1: Aradei Capital's Entities



Source: Company Data

Appendix B2: Board of Directors of Aradei Capital

Director	Shares	seniority	Quality	Education	Competences	Profesional Experiences
Nawfal BENDEFA	2	4 ans	Chairman	- Bachelor in Finance, the University of Florida - CFA charterholder	Real estate sector, securitization transactions, project financing, development, valuation	- Chairman and CEO of Aradei Capital SA - Managing Director of Actif Invest - Member
Zouhair BENNANI	12	7 ans	administrator	Engineering degree in computer science, Plus a degree in management from the Sorbonne University	Computer science, Commercial real estate, large distribution	- Chairman of the Board of Directors and Co-founder of LabelVie S.A - Honorary President of CGEM - VP of the Moroccan Modern Distribution Association - Member of the Supervisory Board of Mutandis.
Rachid HADNI	7	7 ans	administrator	Computer engineer	Computer science, mass distribution, Marketing	- Co-founder and Managing Director of LabelVie S.A - Director Best Financier - Director 7 - Director SPI HSC
Riad LAISSAOUI	2	7 ans	administrator	Chartered Accountant	Accounting, audit, organization and advisory	- Managing Director of Retail Holding - Financial Director of LabelVie - Member at R Holding Investment
Adil BENNANI	2	7 ans	administrator	Master in Business Administration in 1989 at Paris Sud Orsay University		- Managing Director of Best Health - Managing Director of SCRIM
Mehdi TAHIRI JOUTEÏ HASSANI	2	4 ans	administrator	Graduate of the Ecole des Mines de Paris.	22 years of experience in the real estate, infrastructure, private equity, investment, fundraising, structuring	- Partner at REIM Partners - Adiministrator at CMGP - Adiministrator at Cap Rest
Mehdi ALJ	2	4 ans	administrator	Graduate from EDC Paris Business school	Graduated from the School of Business Leaders and Creators in Paris.	- President of SANAM AGRO and Agro-Food Holding - Adiministrator Retail Holding - President of ALJIA HOLDING
Emmanuel BLOUIN	-	1 ans	independent administrator	Graduated from HEC Paris with a specialization in Finance	15 years of experience in investment banking and real estate with Morgan Stanley, JP Morgan and Paribas in London, Paris, Prague and Moscow	- Founder and Managing Partner of EstereI Capital LLP - Independent administrator at XXI - Century Chairman of the Board of Directors of Rose Group
Dayae OUDGHIRI KAOUACH	-	2 ans	independent administrator	Graduate of NEOMA Business School and holder of the TRIUM Executive MBA.	Financing Analysis, Asset Management, Corporate Finance, Fund raising, Strategic advisory, Business Intelligence	- President and Founder of the consulting firm FULGURANS - Corporate Finance Director at CDG Capital - Member of the Board of Directors of MASEN
Natalie BRAGINSKY MOUNIER	-	2 ans	independent administrator	Holds several degrees from Harvard Business School, Georgetown University, and the CFA Institute.	Active engagement and Stock picking, capital markets advisory, ESG integration	- ESG Director - Portfolio manager - Investment analyst within Capital Group in London

Source: Company Data

Appendix B3: Committees of Aradei Capital

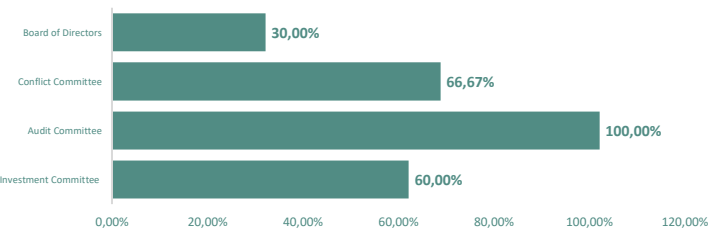
Investment Committee	Quality
Mr. Matthieu EVRARD	Independent
Mr. Mohamed OUANAYA	Independent
Mr. Thomas McCALLUM	Independent
Mr. Nawfal BENDEFA	Chairman of the Board of Directors
Mr. Mehdi TAHIRI	Director

Conflict Committee	Quality
Mr. Matthieu EVRARD	Independent member
Mr. Mohamed OUANAYA	Independent member
Mr. Thomas MCCALLUM	Independent member

Audit Committee	Quality
Mrs. Dayae OUDGHIRI KAOUACH	Chairman of the Audit Committee (Independent)
Mr. Riad LAISSAOUI	Director
Mr. Emmanuel BLOUIN	Independent Director

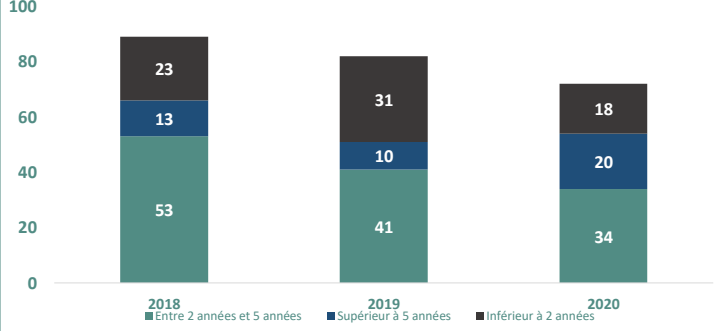
Source: Company Data

Appendix B4: Indecency of Committees of Aradei Capital



Source: Company Data

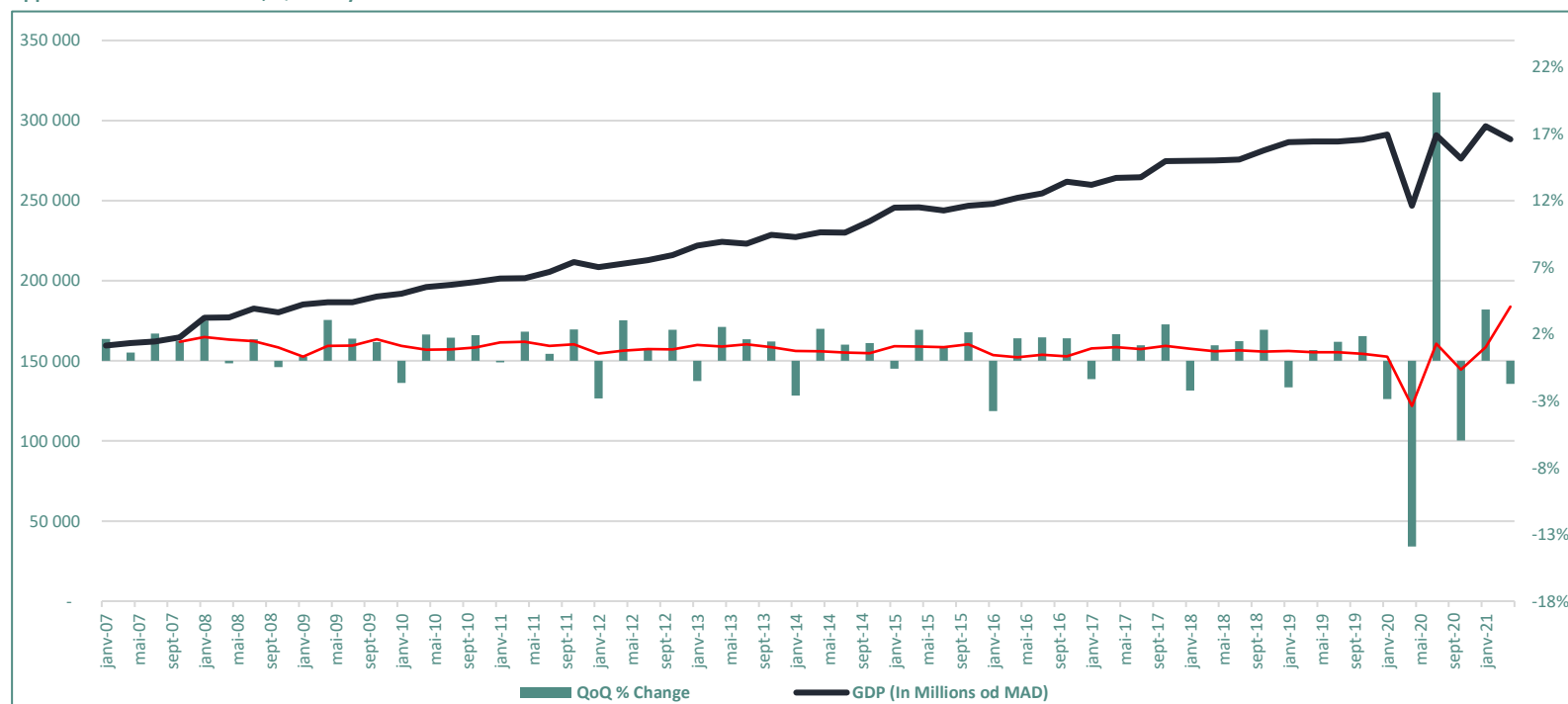
Appendix B5: Seniority of the workforce



Source: Company Data

Appendix C: Industry Overview and Competitive Positioning

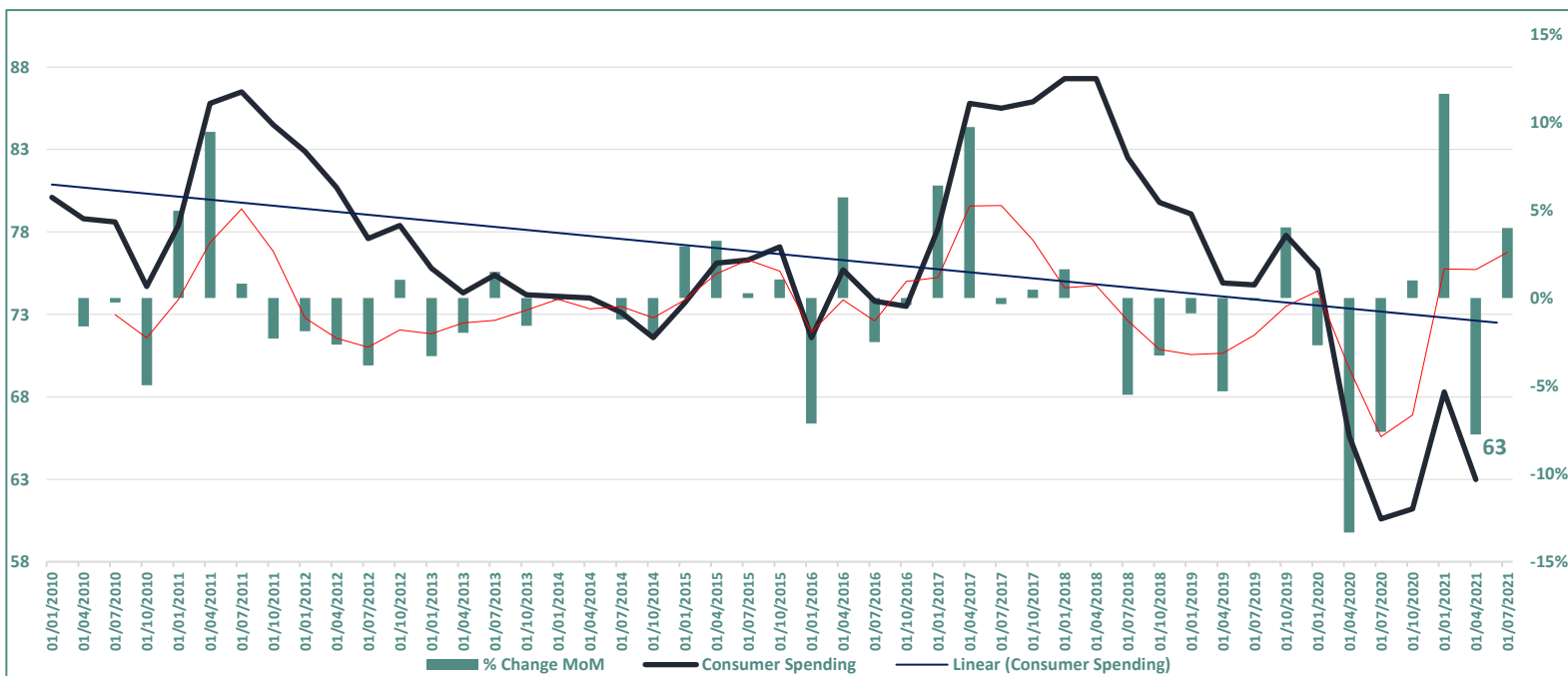
Appendix C1: Moroccan GDP, Quarterly



Source: Refinitiv

Morocco's economic recovery will continue to step up in the coming quarters, after the stronger growth in Q121 that outperformed expectations. Real GDP is forecasted to expand by 3.2% in Q1 of 2022, reflecting a positive outlook driven mainly by a fast vaccination campaign and a supportive fiscal policy. The macroeconomic policy continues to be supportive. Plus, the fiscal stimulus led to an upward of public spending in 2021.

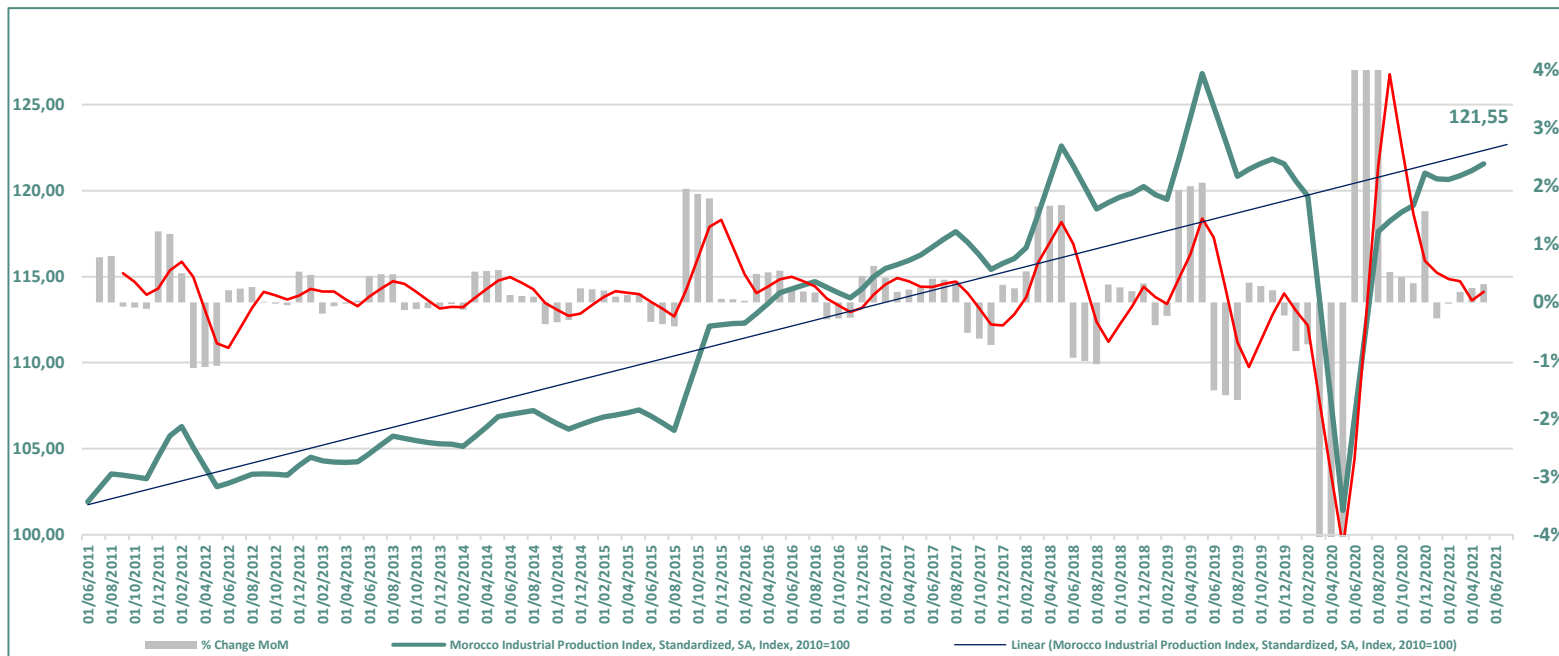
Appendix C2: Consumer Spending in Morocco



Source: Refinitiv

2021 is considered a year of economic recovery seeing the growth of consumer spending in the first quarter of 2021, soaring up to 68.3 against 61.2 in Q4 of 2020, but still, at a low level compared to 75.7 recorded in Q1 of 2021. Consumers still adopt a cautious spending system, but we expect further growth of consumption as confidence retake place again.

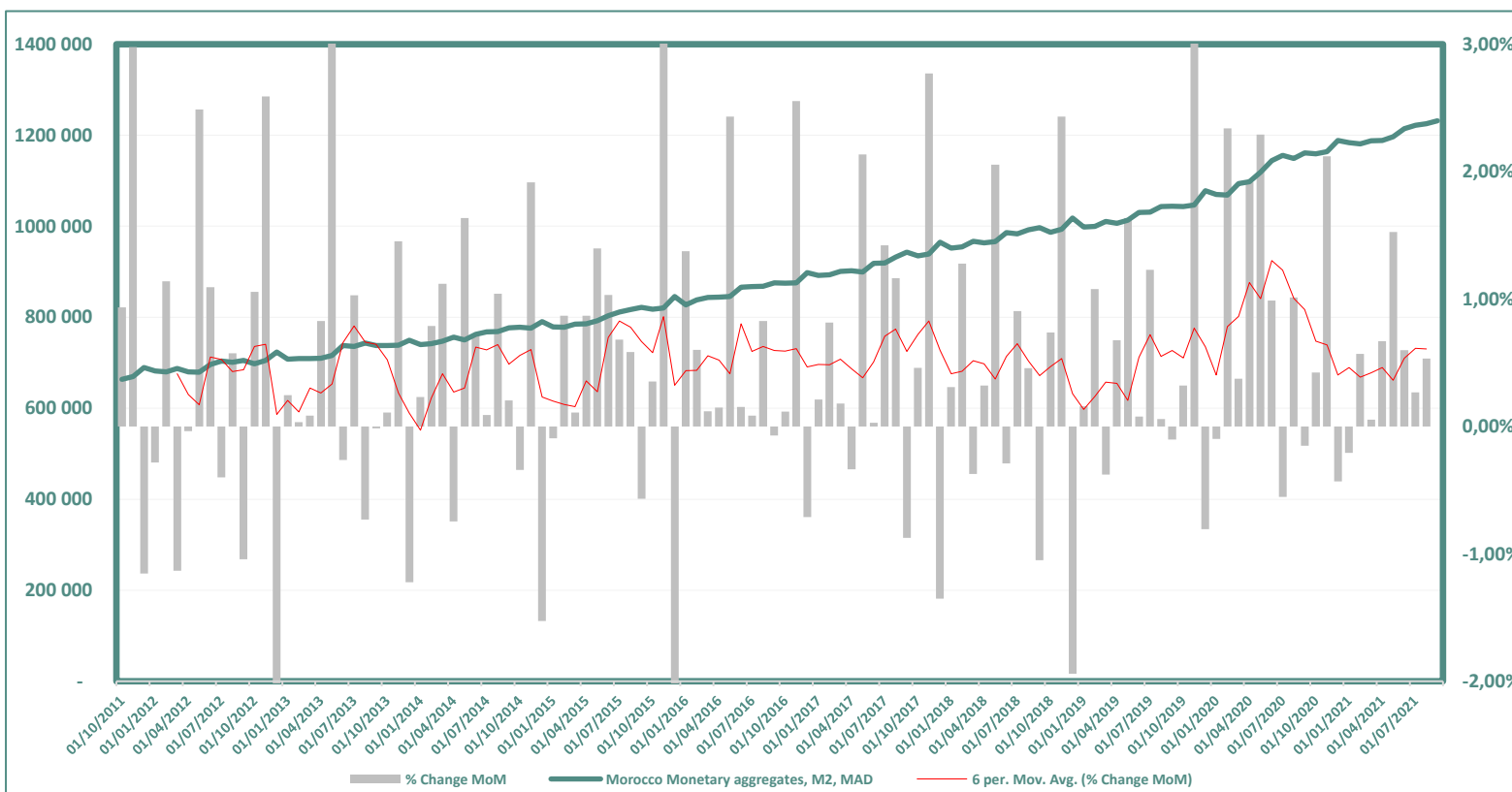
Appendix C3: Morocco Industrial Production



Source: Refinitiv

The government response to the crisis has been very relevant, and the ambitious reforms implemented led to a solid recovery. Growth is expected to accelerate to 5.1% in 2021, Industrial production is going up 2% to 3% MoM showing up a significant positive outlook for the Moroccan economy.

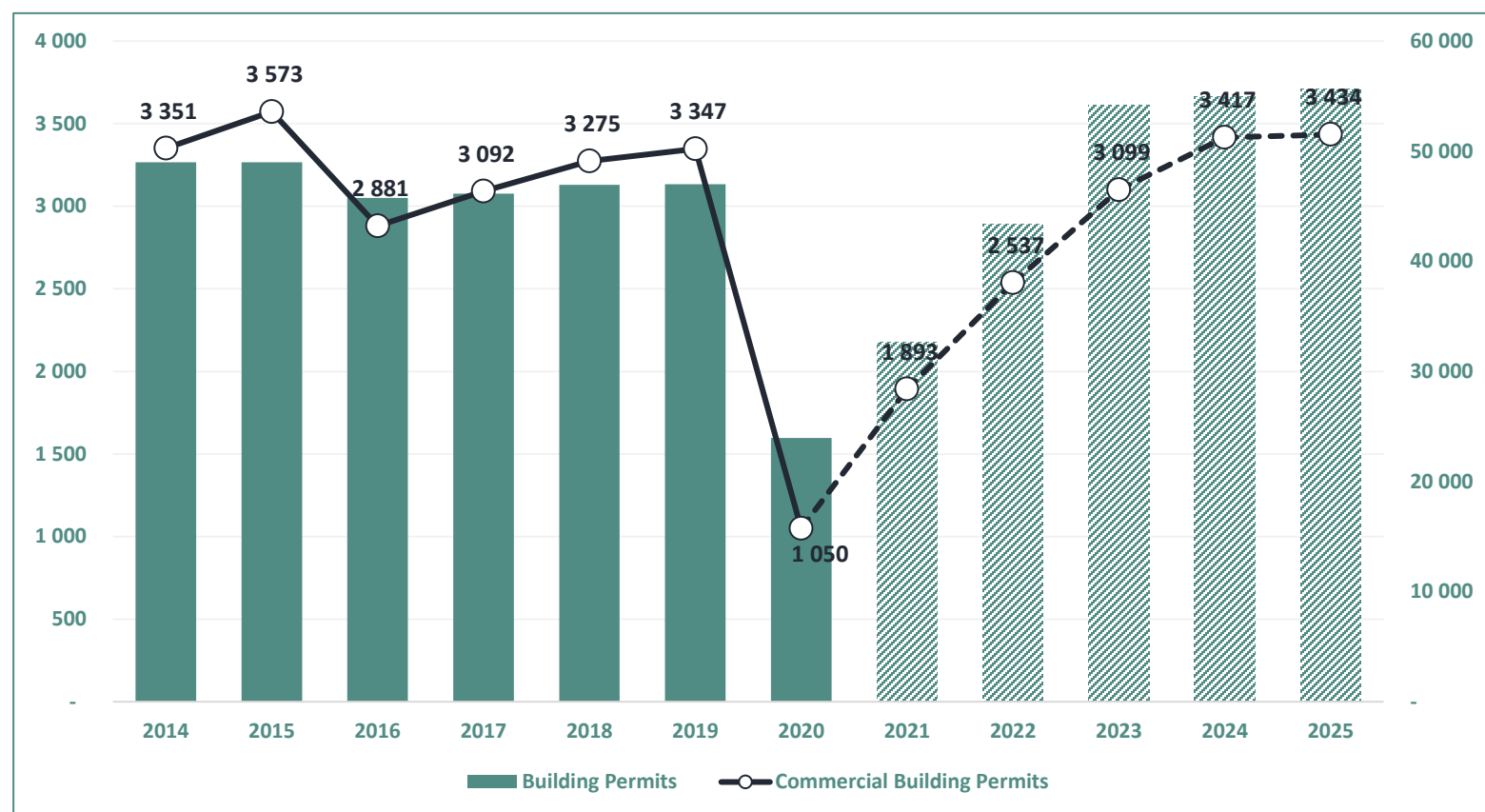
Appendix C4: M2 Monetary aggregates growth in Morocco



Source: Refinitiv

The Moroccan government has been injecting more money to stimulate economic growth in 2021, it had access to external finance through two successful sovereign bond issuances (€1 billion in September and US\$3 billion in December). the M2 monetary aggregates soared up in Q3 and Q4 in 2020 as a supportive policy of the economic state, but it starts slowing down during in H1 2021 until the Q3 and Q4 of 2021 as downside risks remain.

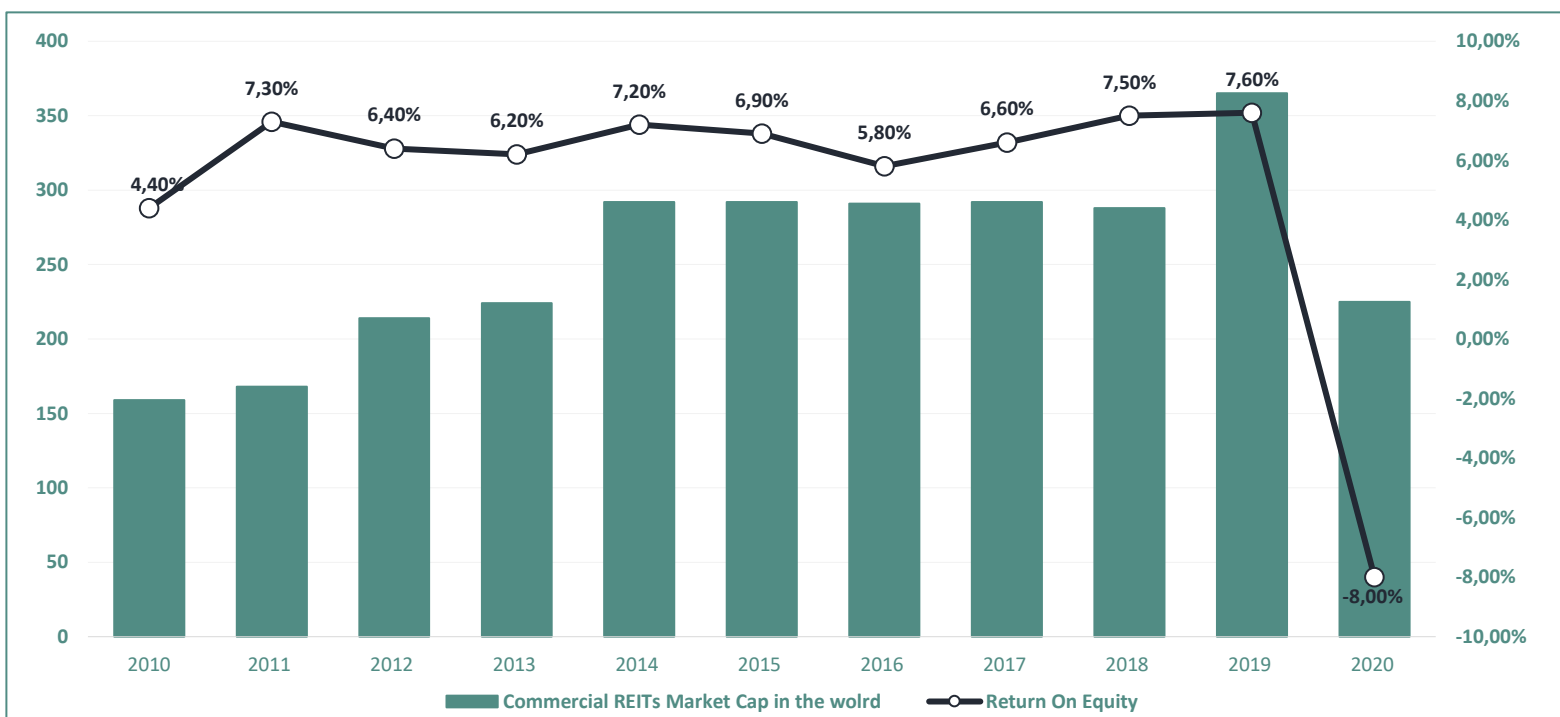
Appendix C5: Moroccan Building Permits Projections



Source: Bank Al Maghreb

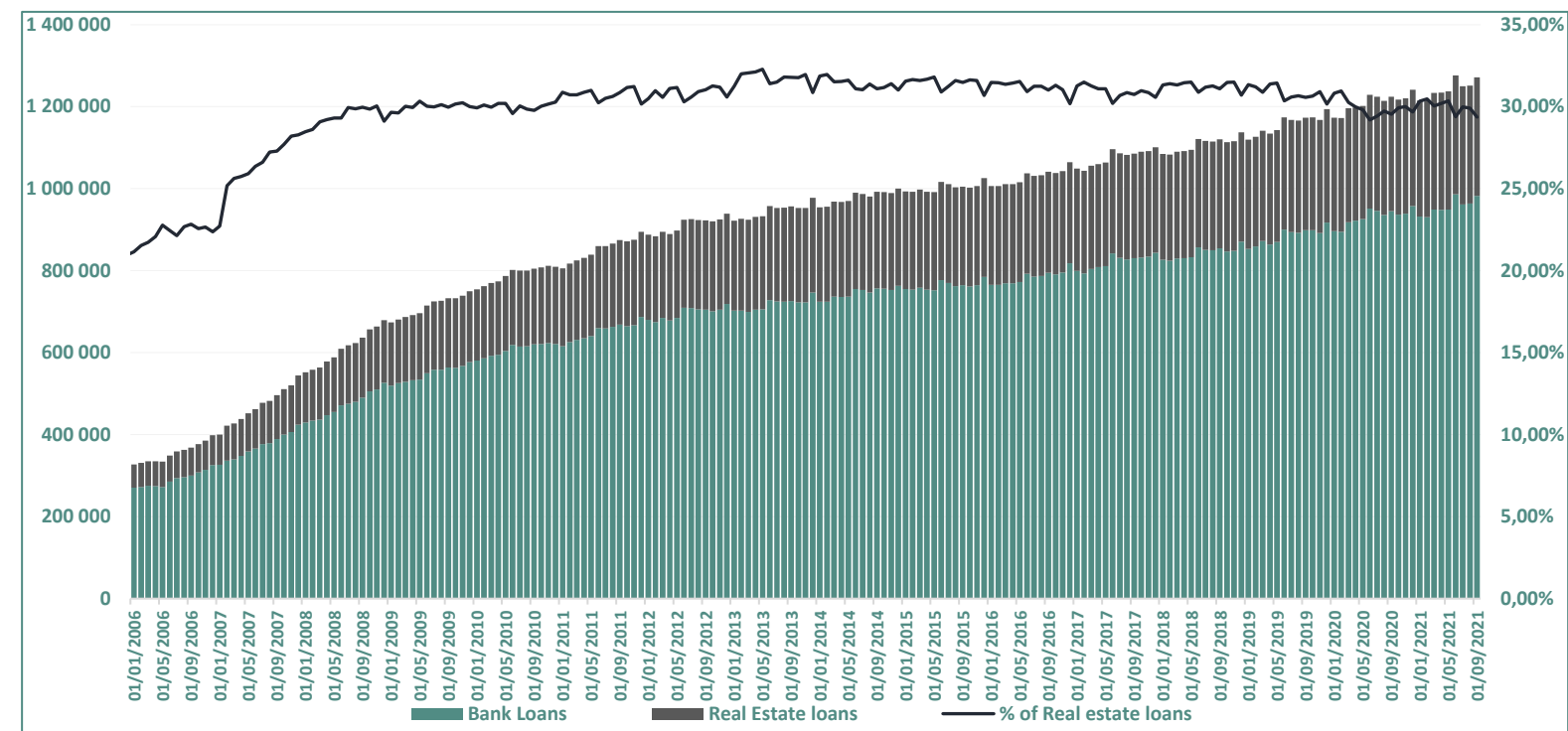
The building permits are seen as a leading macroeconomic indicator which has been significantly growing from 2016 to 2019 until the covid-19 hit in 2020, we forecast an economic expansion and therefore an increase in building permits, especially commercial building permits by a CAGR of 12.6% from 2021 to 2025.

Appendix C6: REITs Return on Equity



Source: Aradei Capital Data

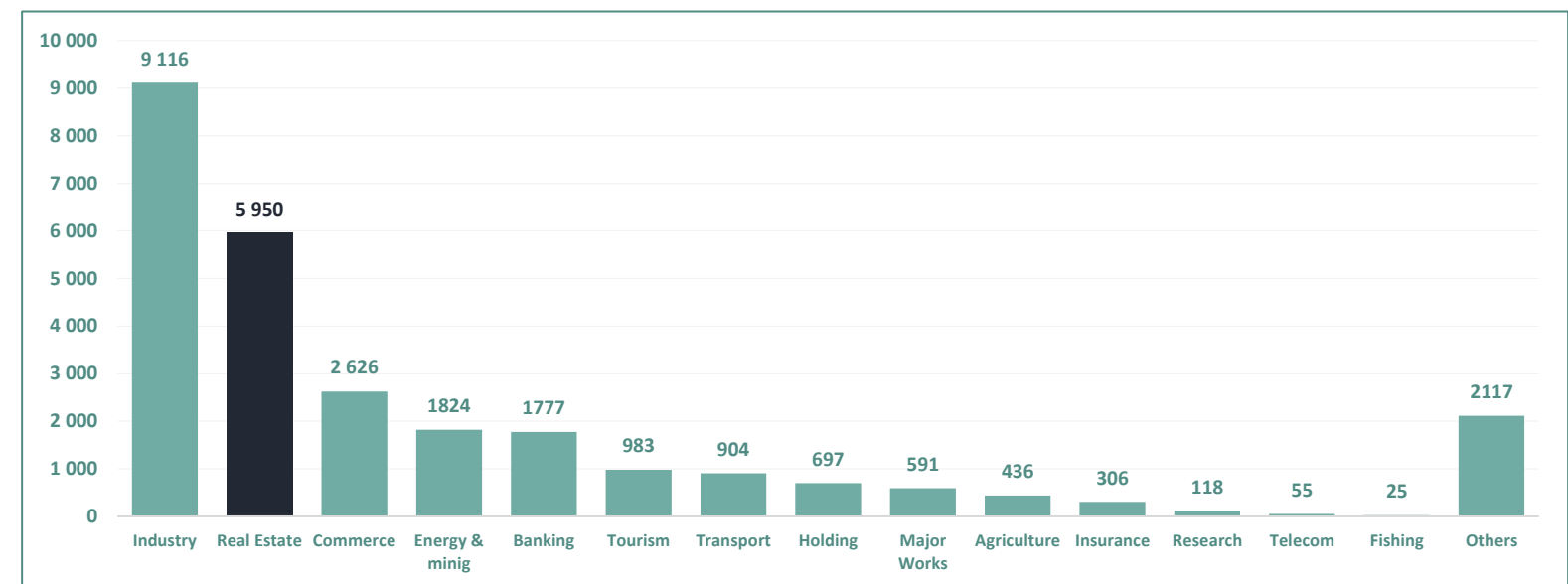
Appendix C7: Real Estate Bank Loans in Morocco, (In thousands of MAD)



Source: Bank Al Maghreb

According to the latest publication of monetary statistics from Bank Al-Maghrib, bank loans grew by 4% in September 2021 compared to the same period of last year, real estate loans step up by 3.4% at the end of the same month, revealing an overall outstanding amount of 288.27 billion MAD which represents 30% of all loans out which stands at 982 billion MAD.

Appendix C8: FDI by Sector in Morocco

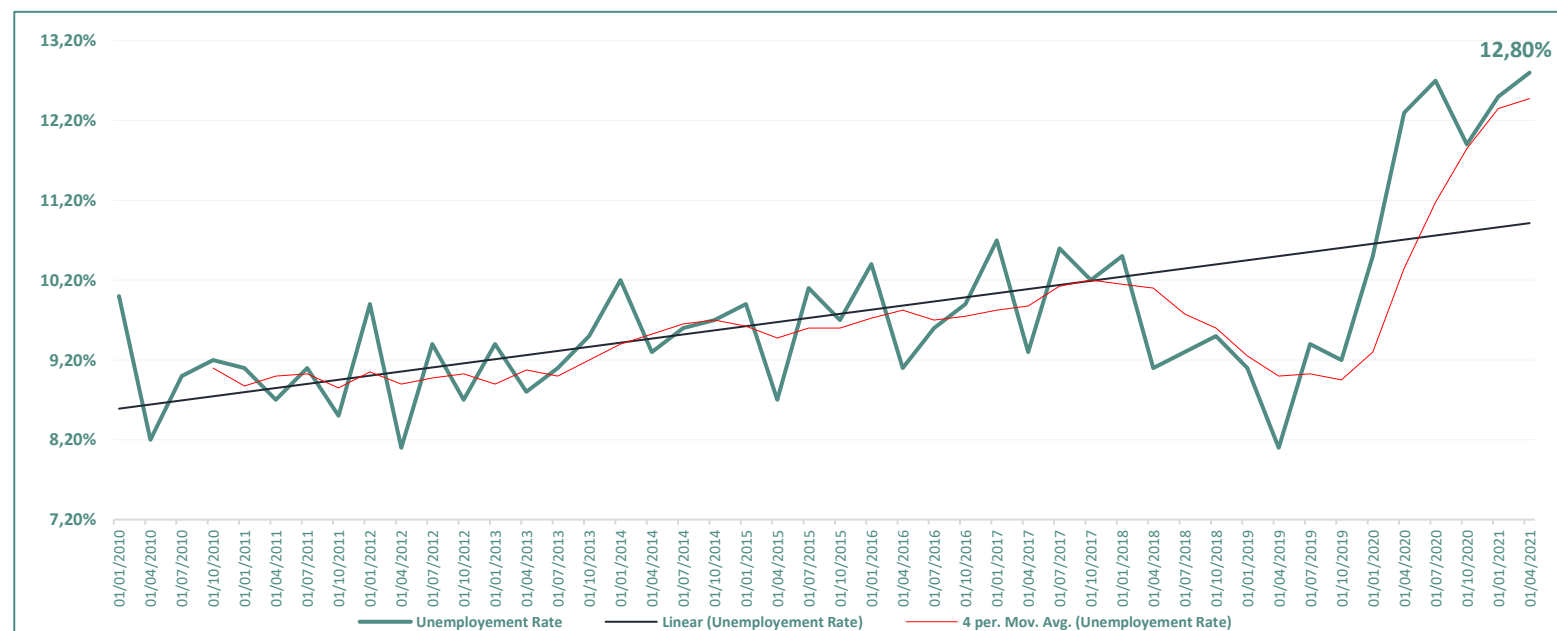


Source: Refinitiv

Morocco offers stable political and legal environments for foreign investors, with increasingly favorable government policies positioning it as a leading destination for FDI within the MENA region. The legislative framework for FDI. The Moroccan economy has been always supported by the country's investment attractiveness due to its positioning, political stability, and resilient net FDI flows. FDI dropped significantly in Q1 of 2021, based on the latest report by the United Nations Conference of Trade and Development, and they are expected it to grow more in the future.

In addition, Real estate occupied the second biggest industry in terms of FDI attractiveness reaching 21.67% in 2021 based on Statista.

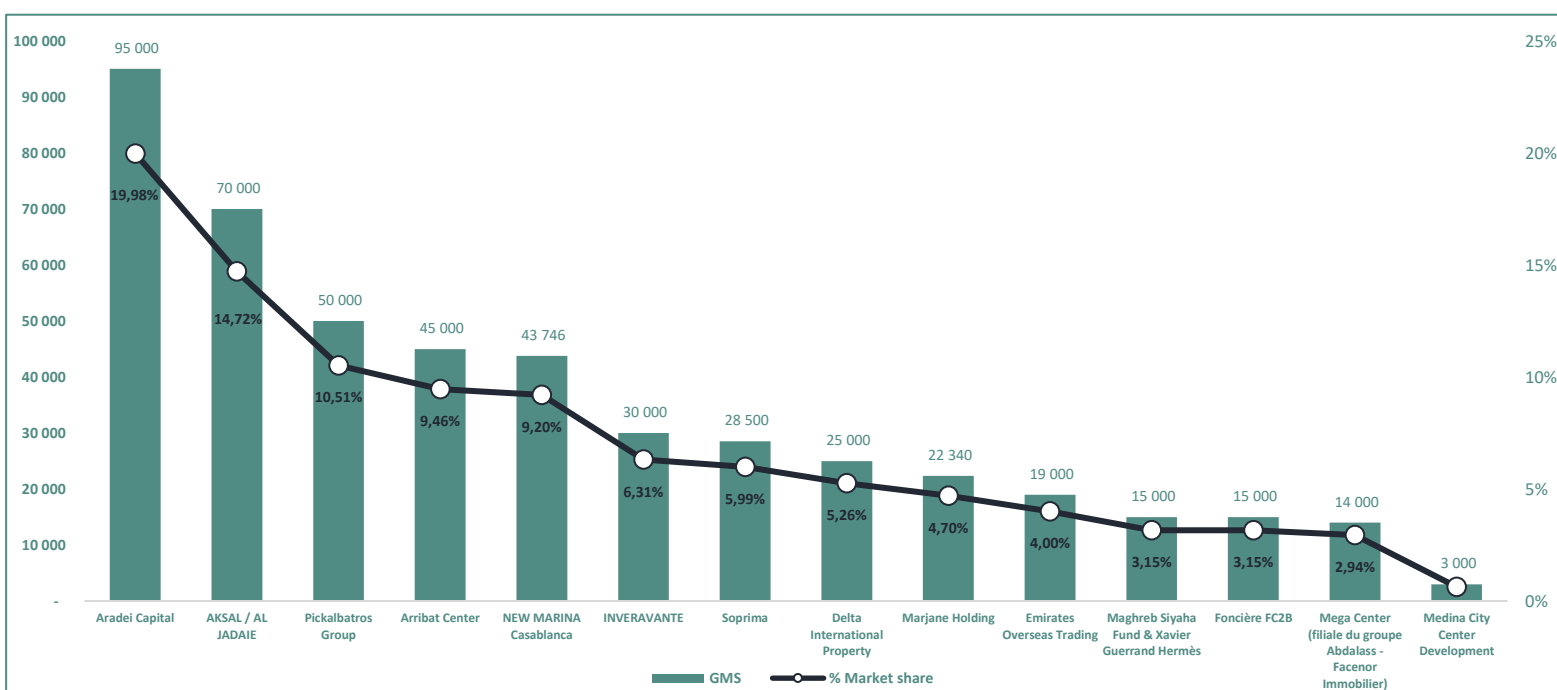
Appendix C8: Unemployment rate in Morocco



Source: Bank Al Maghreb

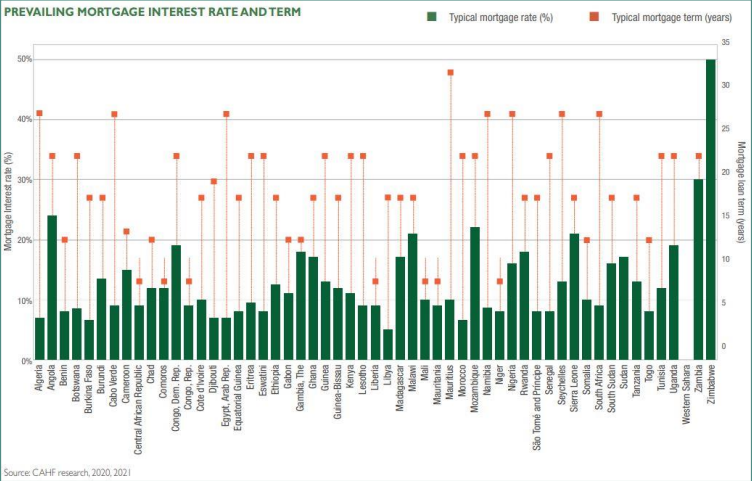
In Q2 2021, the unemployment rate in Morocco stood at 12.8%, indicating a slight increase from the previous quarter, Q1 2021, when it reached 12.5 percent. Nevertheless, it edged down to 11.8% in the Q3 of 2021 as the economy starts to show recovery signs from the pandemic.

Appendix C9: GMS of all major market participant



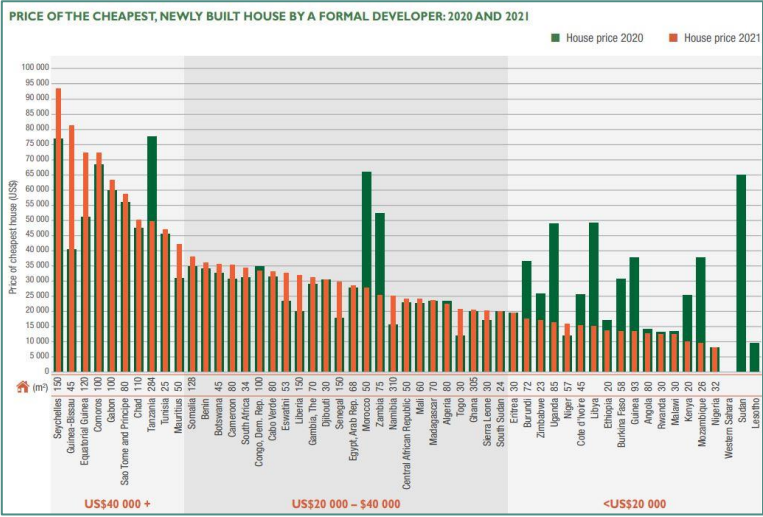
Source: Bank Al Maghreb

Figure 12: Relative presence of REITs across the African continent (by market capitalisation)

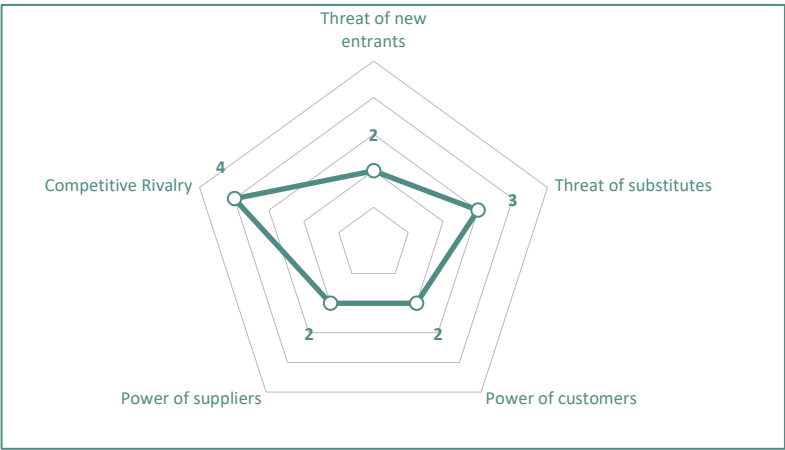


Morocco is one of the fewest countries that have implemented REITs regime in 2015. Moreover, the country has the second lowest mortgage rate in Africa (below 10%) which could be a real driver of real estate market in the future.

Appendix C11: Morocco’s Investment attractiveness



Porter's five forces analysis	
Threat of new entrants	Low level threat: The entry of new businesses can bring many challenges, existing businesses can take advantage of these barriers, such as economies of scale; If the business has been in the area for some time, they are at an advantage. They would have grasped a better understanding of the existing economy], maintaining strong customer loyalty [New companies will also find it difficult to penetrate the existing market if barriers to entry such as brand proliferations are protecting the dominant businesses], Financing it is also a difficult challenge with higher capital requirements, and finally Brand recognition and partners attractiveness are critical to succeed in this business. But the company still facing threats from international peers.
Threat of substitutes	Material threat: Companies can construct and manage their properties themselves or create a property management entity. Besides others competitors in the property management filed.
Power of customers	Material threat: LabelVie, through its subsidiaries, represents 48% of the total commercial area of Aradei Capital at the end of 2020 on the top of that its major shareholders or Aradei Capital whit which has a unique partnership.
Power of suppliers	Low level threat: In 2020, the largest share of products and services purchased is owned by REIM Partners (13%) and Aradei Services (10%) which are entities of Aradei Capital, Plus the company has access to large range of suppliers which up 49% of its suppliers.
Competitive Rivalry	Significant threat: Real estate industry is a highly competitive market with presence of big players specializing in Commercial Real estate (Marjane Holding...) and Offices (AKSAL Group, Foncière Chellah, Immorente...)

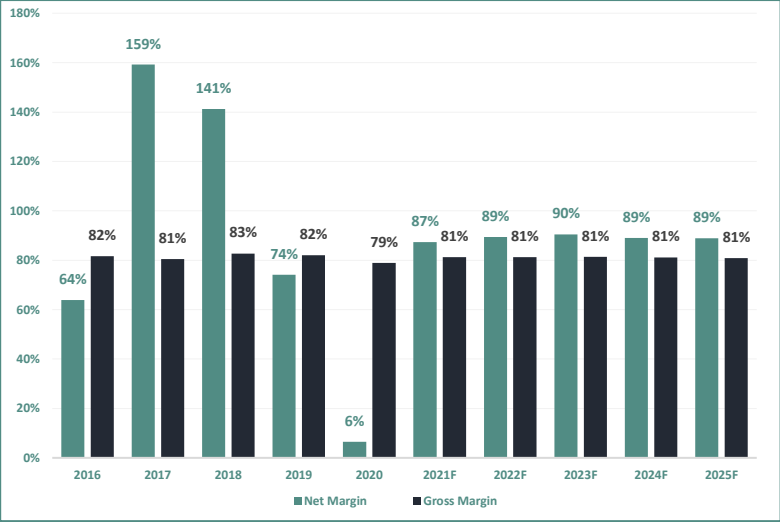


Appendix C12: SWOT Analysis

Strengths	Weaknesses
- Presence in 22 country all over the country. - Sites anchored in their territories, close and accessible. - A unique partnership with the LabelVie group, the Morocco's exclusive Carrefour franchisee. - Ability to attract well-known tenants (LBV, Decathlon, LC Waikiki, BMCI, etc.) - A presence in several asset classes (retail, offices, industrial) - Solid Investment policy. - Existence of land reserves. - ESG commitments and ambitions, integrated into the real estate strategy (certification).	- 31% LTV, biggest in the industry in Morocco. - 83% of the portfolio in the commercial real estate. - Financing costs (51% of the company's debt come from Bank Loans). - Capital Structure (54% of Aradei Capital is owned by Best financière, therefore the company is highly dependent to this shareholder).
Opportunities	Threats
- Growing Economy and Market. - The sector is benefiting from many legal advantages. - High REITs Yield - RAWAJ vision 2020 development plan. - Low Lending Rates and interest rates.	- Highly Competitive Market (Other Major Players are - going towards Commercial Real estate development). Weaker than expected GDP growth, combined with the growth of online shopping and the intense competition from street retail lowers growth prospects for shopping malls.

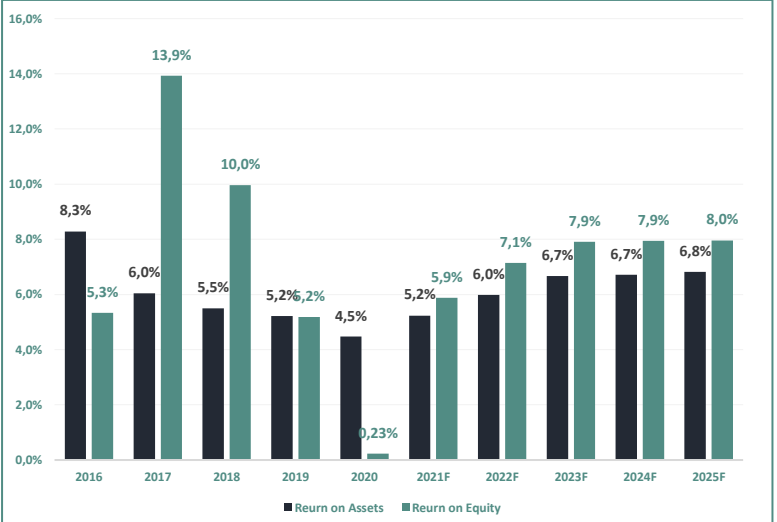
Appendix D : Financial Analysis

Appendix D1: Aradei Capital Net and Gross Margins projections



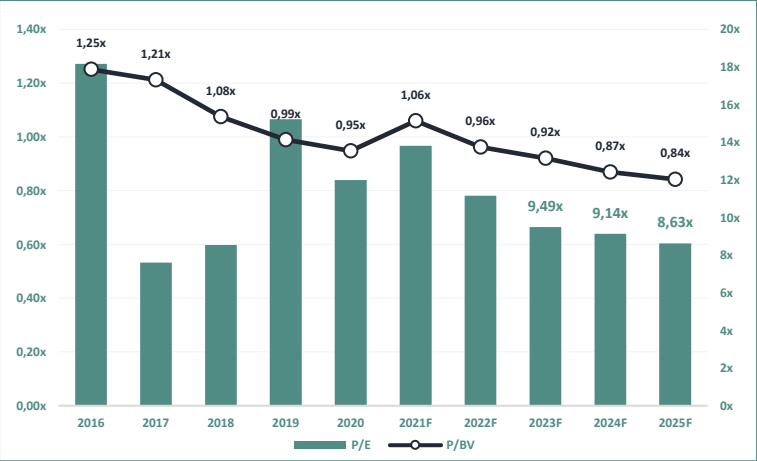
Source: Team Analysis

Appendix D2: Aradei Capital ROE and ROA projections



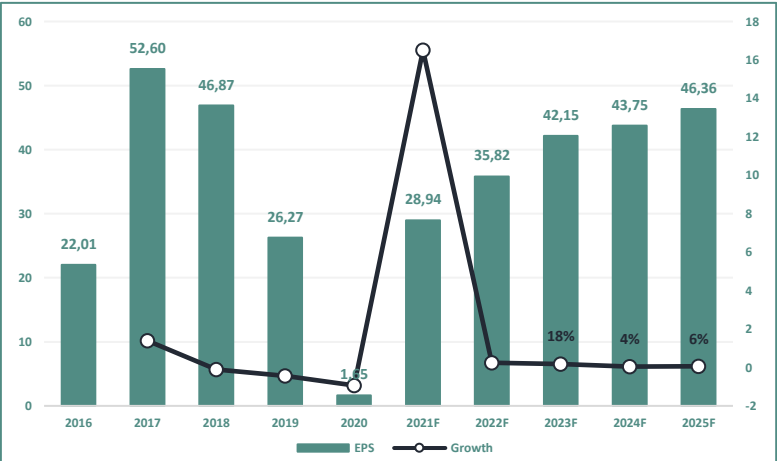
Source: Team Analysis

Appendix D3: Aradei Capital P/E and P/B projections



Source: Team Analysis

Appendix D4: Aradei Capital EPS projections



Source: Team Analysis

General Assumptions

- Aradei Capital oprational activities were impacted during the Covid-19 crisis during 2020 (espacially the lockdown period ; from 20 March to 25 June 2020). Our Assumptions took into account a gradual return to full activity in first-half of 2022, giving the fact that te recovery rate reavhed 90% as of June 30, 2021.
- A Mixed-Use project that contains leisure and office components for an estimated investment of nearly MAD 700 million for a total GLA of 55,000 m².
- The development of an office building (PRISM) for a total GLA of 6,500 m², in Casablanca for a total investment of MAD 60 million. This building is scheduled for delivery in early 2022, according to management. The BEFA are agreed with partners (including Carrefour) to occupy the premises according to management.
- The development of a retail park in Rabat on land already owned by Aradei Capital with a total GLA of 46 700 m² and an investment of more than MAD 200 million with the partner Carrefour.
- The acquisition of an operational asset from the LabelVie Group and its extension for a total amount of MAD 170 million with a total GLA surface area of 17,000 m². (This asset is occupied by the Carrefour brand and the extension will be leased to international brands according to management).

Revenue Assumptions

- The rents take into account an increase of 10% every three years for all tenants except Yazaki (3%) and some Carrefour Hyper (5%).
- Our assumptions are built taking into account an average occupancy rate of 94% over the business plan horizon.
- PRISM, an office building in casablanca is expected to be operation in 2022, with an 6500 m² GLA surface, genertaing more revenue for Aradei Capital.
- An expected yield return of 5% on the amount invested startig from 2023, which is 1 Billion MAD has been integrated after after 24 monts from the investment date (2021).
- In addition, in 2021, a decrease in revenues growth has been integrated to take into account the possible extension of the Covid-19 health crisis (especially after first Omicron case on 15 december 2021).

Revenue per Asset (in KMAD)		2015	2016	2017	2018	2019	2020	2021F	2022F	2023F	2024F	2025F
		Revenue	Revenue	Revenue	Revenue	Revenue	Revenue	Revenue	Revenue	Revenue	Revenue	Revenue
Aradei Capital SA	Sela Plaza Targa	6 197	8 624	8 981	8 899	9 101	10 008	10 395	10 585	11 756	11 927	12 076
	Carrefour Berkane	3 422	3 750	3 858	3 763	4 210	4 225	4 359	4 500	4 934	5 075	5 251
	Atacadao Oujda	6 627	8 595	8 327	8 074	8 489	8 152	8 457	8 546	9 490	9 590	9 691
	Atacadao Marrakech	7 163	7 835	8 726	8 068	8 735	8 735	9 873	10 022	10 174	11 396	11 588
	Atacadao Taza	3 130	3 313	3 223	3 233	3 432	3 321	3 401	3 453	3 914	4 010	4 108
	Atacadao Tanger	6 605	8 313	8 312	8 077	8 969	9 011	9 954	10 001	10 048	11 100	11 152
	Carrefour Panoramique	-	-	5 000	3 156	3 297	3 372	3 449	3 527	3 784	3 870	3 958
	Atacadao Ain Sbâa (Pharmacie)	1 316	485	371	39	39	39	39	39	39	39	39
	Carrefour Bouskoura	214	447	126	367	-	367	367	367	367	367	367
	Carrefour Sidi Maarouf (Pharmacie)	-	-	-	39	39	39	39	39	39	39	39
	Yazaki	-	-	-	-	14 640	14 997	15 180	16 124	16 321	16 520	17 547
	Sela Park El Jadida	-	-	-	-	2 323	1 064	1 352	1 854	2 355	2 672	3 120
	Atacadao Inzegane	-	-	-	-	90	5 200	5 278	5 357	5 973	6 063	6 154
	Sela Park Témara	-	-	-	-	-	5 314	5 394	5 475	6 104	6 196	6 289
	Autres (*)	3 448	6 026	-	2 389	2 807	2 103	2 161	2 220	2 281	2 344	2 409
TOTAL					45 659	66 093	75 502	79 251	81 664	87 134	90 761	93 341
						44,75%	14,24%	4,97%	3,04%	6,70%	4,16%	2,84%
Golf I	Sela Park Agadir	-	96	6 441	10 515	9 904	7 310	8 842	10 694	13 556	15 374	17 024
	Atacadao Salé	6 810	8 751	9 243	8 964	10 144	9 849	11 151	11 442	11 902	13 299	13 684
	Carrefour Bouskoura	6 957	12 160	13 481	14 106	14 237	15 236	15 875	16 517	17 357	18 128	18 949
TOTAL		13 767	21 007	29 165	33 585	34 285	32 395	35 867	38 654	42 816	46 801	49 656
			52,59%	38,83%	15,16%	2,08%	-5,51%	10,72%	7,77%	10,77%	9,31%	6,10%
Golf II	Atacadao Ain Sbâa	15 564	14 038	15 263	20 075	20 922	18 284	20 730	21 429	22 153	25 116	25 963
	Atacadao Fès	8 027	8 127	8 142	8 269	8 444	8 271	9 149	9 193	9 243	10 199	10 234
	TOTAL	23 591	22 165	23 405	28 344	29 366	26 555	29 878	30 622	31 396	35 315	36 197
			-6,04%	5,59%	21,10%	3,61%	-9,57%	12,51%	2,49%	2,53%	12,48%	2,50%
Meknès Center K	Atacadao Meknès	-	1 847	5 045	5 015	5 060	5 601	6 366	6 600	6 912	7 881	8 207
FCE JAD	Label'Gallery El Jadida	7 367	7 995	9 263	9 164	7 733	6 922	7 060	7 202	8 066	8 227	8 392
FCE SAF	Label'Gallery Safi	2 832	3 386	3 310	2 181	2 643	6 817	6 851	6 885	7 608	7 646	7 685
SCCD	Socco Alto	-	44 075	43 254	36 537	34 574	30 923	31 696	35 658	36 550	37 463	42 146
SCCF	Borj Fez	36 951	40 047	39 561	43 814	45 081	33 341	37 342	44 810	47 051	48 462	54 278
SCCM	Label'Gallery Meknès	7 847	6 315	6 589	6 427	5 814	5 557	5 640	5 725	6 383	6 479	6 576
SCCS	Almazar	56 371	34 816	33 826	33 076	27 919	19 306	23 167	28 959	32 144	34 073	38 503
SPI HSC	Label'Gallery Rabat	7 038	6 617	5 359	7 346	8 291	11 159	12 307	12 941	14 494	14 639	14 785
DBCC	Sela Piazza Dar Bouazza				-	2 505	10 190	10 292	11 424	11 538	11 654	12 936
					-	149	149	149	149	149	149	149
TOTAL					143 560	139 769	129 970	140 872	160 353	170 895	176 673	193 656
						-2,64%	-7,01%	8,39%	13,83%	6,57%	3,38%	9,61%
Best Leisure		10 448	11 205	15 479	16 289	17 979	6 216	9 470	13 435	15 483	16 664	17 934
CLEO PIERRE SPI-RFA								40 000	44 000	47 520	50 371	52 386
Akdital Holding										40 000	42 000	44 100
PRISM									39 000	40 950	42 998	45 147
TOTAL					267 437	363 040	270 638	335 338	407 727	476 194	501 583	532 418
						35,75%	-25,45%	23,91%	21,59%	16,79%	5,33%	6,15%

Source: Team Analysis

Value Per Asset in KMAD		2018	2019	2020	2021F	2021F	2021F	2021F	2021F
Aradei Capital SA	Sela Plaza Targa	177 345	194 422	190 100	197 140	198 599	203 011	206 017	209 831
	Carrefour Berkane	37 943	39 653	39 910	40 939	41 599	42 470	43 258	44 112
	Atacadao Oujda	124 332	93 832	98 200	102 771	107 555	112 562	117 802	123 286
	Atacadao Marrakech	165 169	142 930	133 200	133 200	133 200	133 200	133 200	133 200
	Atacadao Taza	32 812	27 512	30 300	32 756	34 881	36 691	38 214	39 483
	Atacadao Tanger	147 006	123 538	128 200	132 070	136 556	140 936	145 590	150 329
	Carrefour Panoramique	38 229	42 009	42 000	44 072	45 154	46 823	48 262	49 896
	Carrefour Sidi Maarouf (Ph	331 263	341 560	338 132	341 690	341 774	343 614	344 581	345 993
	Yazaki	176 245	181 850	181 850	186 477	190 272	194 145	198 096	202 128
	Sela Park El Jadida	59 518	59 518	65 106	68 162	72 962	77 243	82 229	87 296
	Atacadao Inzegane	99 734	99 734	66 300	77 413	83 901	94 448	104 342	116 366
	Sela Park Témara	198 973	198 973	198 973	198 973	198 973	198 973	198 973	198 973
TOTAL		1 588 569	1 545 531	1 512 271	1 555 664	1 585 426	1 624 116	1 660 565	1 700 892
			-2,71%	-2,15%	2,87%	1,91%	2,44%	2,24%	2,43%
Golf I	Sela Park Agadir	245 889	261 014	298 949	317 338	336 858	357 578	379 574	402 922
	Atacadao Salé	209 542	214 992	197 900	207 795	215 692	225 183	234 416	244 380
	Carrefour Bouskoura	-	-						
TOTAL		455 431	476 006	496 849	525 133	552 550	582 761	613 990	647 301
			4,52%	4,38%	5,69%	5,22%	5,47%	5,36%	5,43%
Golf II	Atacadao Ain Sbâa	267 710	276 756	291 200	303 719	318 173	332 583	348 028	363 991
	Atacadao Fès	172 519	140 051	126 820	132 811	138 457	143 754	149 254	154 965
TOTAL		440 229	416 807	418 020	436 529	456 630	476 337	497 283	518 956
			-5,32%	0,29%	4,43%	4,60%	4,32%	4,40%	4,36%
Meknès Center K	Atacadao Meknès	84 445	72 145	71 100	74 190	77 413	80 777	84 287	87 950
FCE JAD	Label'Gallery El Jadida	76 614	89 240	84 500	89 219	94 201	99 461	105 015	110 880
FCE SAF	Label'Gallery Safi	26 793	29 957	31 000	33 370	35 227	37 553	39 838	42 365
SCCD	Socco Alto	504 080	546 109	542 400	563 170	597 431	627 042	661 654	696 313
SCCF	Borj Fez	517 651	554 274	519 300	535 684	550 275	562 267	572 069	580 047
SCCM	Label'Gallery Meknès	54 028	61 570	62 900	67 970	71 443	76 147	80 600	85 610
SCCS	Almazar	409 592	451 522	447 700	468 721	477 741	493 553	506 470	521 479
SPI HSC	Label'Gallery Rabat	190 037	204 032	201 246	207 282	208 976	212 963	215 865	219 396
DBCC	Sela Piazza Dar Bouazza	215 933	215 933	222 502	225 886	231 040	235 433	240 357	245 156
TOTAL		2 079 173	2 224 782	2 182 648	2 265 491	2 343 747	2 425 197	2 506 157	2 589 196
			7,00%	-1,89%	3,80%	3,45%	3,48%	3,34%	3,31%
CLEO PIERRE SPI-RFA					600 000	612 000	624 240	636 725	649 459
Akdital Holding					1 000 000	1 020 000	1 040 400	1 061 208	1 082 432
PRISM					60 000	61 200	62 424	63 672	64 946
TOTAL of Totals		4 563 402	4 663 126	4 609 788	6 442 817	6 631 552	6 835 476	7 039 599	7 253 183
			2,19%	-1,14%	39,76%	2,93%	3,08%	2,99%	3,03%
Change in Real Fair Value of Assets					173 029	188 735	203 924	204 123	213 584

Source: Team Analysis

Other Assumptions	
Operating Expenses	Operating expenses are aligned with the company's revenue, they represent on average 12,41% of Aradei Capital revenues. these expenses are divided between ; (i) Other Expenses & External Expenses (with 62%) (ii) Payroll expenses (iii) Tax Expenses. they were forecasted to range between 11.76% and 12.67% over the forecast period.
Fair Value changes of investment properties	Fair Value changes of investment properties were forecasted based on the last 3 years historical data for each asset specifically taking into account the Covid-19 crisis impact and recovery in the incoming years.
Interest expenses	Interest expenses are aligned with the company's long term debt, which is divided between Bonds issuance, Bank loans, and finance lease debts. those expenses were forecasted on a range between 5% to 6% based on the last 5 years average.
tax rate	A tax rate of 31% was applied over the forecast period.
Dividends	Dividends were aligned with FFO based on the legal minimum distribution rate of 85% of the company's FFO over the forecast period.
Debt assumptions	Debt assumptions were aligned with the historical levels of LTV ranging from 26% to 34%. taking into consideration the internal management policy to maintain the company's LTV between 40% and 50%.

Appendix E1: Income Statement Projections

Income Statement										
In KMAD	2016	2017	2018	2019	2020	2021F	2022F	2023F	2024F	2025F
Rental Revenues	223 029	249 641	251 314	269 340	263 633	335 338	407 727	476 194	501 583	532 418
Key Money	28 066	2 825								
Other revenues	13 836	15 559	17 878	18 230	7 444	17 496	18 694	19 973	21 339	22 800
		12,45%	14,90%	1,97%	-59,17%	6,84%	6,84%	6,84%	6,84%	6,84%
Revenues	264 931	268 025	269 192	287 570	271 077	352 835	426 420	496 166	522 922	555 217
% Growth		1,17%	0,44%	6,83%	-5,74%	30,16%	20,86%	16,36%	5,39%	6,18%
Operating Expenses	(48 624)	(52 203)	(46 511)	(51 742)	(57 251)	(65 941)	(79 997)	(92 441)	(98 831)	(105 998)
Other Expenses / External Expenses	(25 117)	(32 238)	(30 922)	(31 861)	(39 894)	(41 146)	(51 581)	(60 126)	(64 026)	(69 299)
Payroll expenses	(4 461)	(14 598)	(14 941)	(17 646)	(19 218)	(18 131)	(24 835)	(29 288)	(31 234)	(33 007)
Tax Expenses	(5 661)	(3 638)	(3 571)	(1 957)	(2 750)	(4 560)	(4 799)	(5 360)	(5 396)	(6 117)
Other operating revenues and expenses	(13 385)	(1 729)	2 923	(278)	4 611	(2 105)	1 219	2 334	1 824	2 426
EBITDA	216 307	215 822	222 681	235 828	213 826	286 893	346 424	403 725	424 091	449 220
EBITDA margin (%)	81,65%	80,52%	82,72%	82,01%	78,88%	81,31%	81,24%	81,37%	81,10%	80,91%
Depreciation Expenses	(2 115)	(2 132)	(3 752)	(4 413)	(4 658)	(5 226)	(5 478)	(5 524)	(5 929)	(6 216)
Provisions for risks and changes	4 569	(10 880)	3 454	9 101	(8 845)	(5 101)	1 418	1 201	1 118	749
Other non-operating revenues and expenses	(9 155)	(8 674)	(26 664)	(11 896)	(11 824)	(13 643)	(14 540)	(15 713)	(13 523)	(13 849)
Fair Value changes of investment properties	45 083	318 487	286 401	99 446	(56 028)	173 029	188 735	203 924	204 123	213 584
Assets sale	39	10 857	-	-	24	-	-	-	-	-
EBIT (Operating Income)	254 728	523 480	482 120	328 066	132 495	435 953	516 559	587 613	609 879	643 488
EBITmargin (%)	96,15%	195,31%	179,10%	114,08%	48,88%	123,56%	121,14%	118,43%	116,63%	115,90%
Interest Expenses	(64 663)	(56 353)	(58 111)	(85 978)	(91 805)	(96 450)	(101 211)	(106 014)	(111 310)	(116 837)
Cash Placement revenue	31 997	11 406	5 770	7 764	5 886	6 191	5 667	5 768	5 397	5 290
Net financing cost	(32 666)	(44 947)	(52 341)	(78 214)	(85 919)	(90 259)	(95 544)	(100 247)	(105 913)	(111 547)
Other financial revenues and expenses	(232)	(77)	(2 582)	(26 678)	(21 075)	(21 286)	(21 499)	(21 714)	(21 931)	(22 150)
EBT (Current Income before tax)	222 294	478 610	432 361	276 530	67 651	366 980	442 514	509 080	525 897	554 090
EBT margin (%)	83,91%	178,57%	160,61%	96,16%	24,96%	104,01%	103,77%	102,60%	100,57%	99,80%
Income Tax	(53 023)	(51 901)	(52 107)	(63 396)	(50 054)	(58 858)	(61 157)	(60 386)	(60 170)	(60 553)
Net Income	169 271	426 709	380 254	213 134	17 597	308 122	381 357	448 694	465 727	493 538
% Growth		152,09%	-10,89%	-43,95%	-91,74%	1650,99%	23,77%	17,66%	3,80%	5,97%
EPS	22,0	52,6	46,9	26,3	1,7	28,9	35,8	42,1	43,7	46,4

Appendix E2: Balance Sheet Projections

Balance Sheet										
In KMAD	2016	2017	2018	2019	2020	2021F	2022F	2023F	2024F	2025F
ASSETS										
Other intangible assets	474	352	970	7 684	7 580	7 632	7 606	7 619	7 613	7 616
Investment properties	3 296 568	3 657 204	4 325 980	5 064 865	5 200 322	6 236 972	6 393 746	6 488 662	6 997 300	7 291 627
Other fixed assets	24 598	23 534	23 369	22 651	19 437	22 718	22 342	22 103	21 873	21 690
Other financial assets	9 020	9 243	5 808	5 682	5 942	7 139	6 763	6 267	6 359	6 494
Deferred tax - assets	26 192	18 231	7 387	4 397	4 545	5 443	4 795	4 928	5 055	4 926
Total non-current assets	3 356 852	3 708 564	4 363 514	5 105 279	5 237 826	6 279 904	6 435 252	6 529 578	7 038 200	7 332 353
Inventory	47 291	47 291	49 722	52 182	90 061	77 309	59 313	61 717	64 117	66 504
Accounts receivable	117 818	124 368	129 423	142 383	132 771	176 979	177 978	181 863	174 892	180 419
Tax receivable	36 980	22 571	13 425	7 367	14 644	11 812	11 274	12 577	11 888	11 913
Other current assets	187 226	178 748	190 633	261 317	292 107	320 001	332 233	355 229	368 521	377 154
Cash & cash equivalents	647 626	388 939	580 700	124 536	664 722	183 331	183 588	529 382	249 716	401 991
Total current assets	1 036 941	761 917	963 903	587 785	1 194 305	769 431	764 386	1 140 768	869 134	1 037 981
TOTAL ASSETS	4 393 793	4 470 481	5 327 417	5 693 064	6 432 131	7 049 335	7 199 638	7 670 346	7 907 334	8 370 333
Shareholders equity										
Issued capital	768 983	811 274	811 274	811 274	1 064 578	1 074 578	1 085 870	1 140 163	1 140 163	1 197 171
share premium	526 198	645 914	541 111	541 111	1 036 191	1 042 191	1 048 191	1 088 001	1 107 081	1 162 435
Reseves	1 074 043	1 133 071	1 441 372	1 753 163	1 897 292	2 001 565	2 111 568	2 227 617	2 350 044	2 479 199
Special reserve account			104 803	104 803						
Net profit	169 273	426 709	380 252	213 690	17 596	305 215	377 253	443 311	458 977	485 328
Owner's equity	2 538 497	3 016 968	3 278 812	3 424 041	4 015 657	4 423 549	4 622 881	4 899 091	5 056 264	5 324 133
Non-controlling interest										
Total shareholders equity	2 538 497	3 016 968	3 278 812	3 424 041	4 015 657	4 423 549	4 622 881	4 899 091	5 056 264	5 324 133
LIABILITIES										
Long term debt	816 413	800 489	1 349 099	1 487 429	1 409 360	1 674 629	1 683 282	1 822 993	1 868 521	2 015 280
Provisions	5 040	2 615	2 614	2 614	2 614	3 099	2 711	2 731	2 754	2 782
Other non-current liabilities	54 220	56 710	56 715	82 606	88 394	94 721	101 804	110 367	114 513	118 350
Deferred tax - liabilities	31 004	36 511	49 829	80 587	104 409	113 905	123 649	132 067	136 526	138 901
Total non-current liabilities	906 677	896 325	1 458 257	1 653 236	1 604 777	1 886 354	1 911 446	2 068 159	2 122 314	2 275 313
Current position of long term debt	322 738	156 922	310 688	184 614	393 580	343 708	263 902	285 371	305 221	346 342
Income tax paybale	22 611	21 499	3 662	3 149	1 194	2 668	2 337	2 066	2 357	2 254
Accounts payable	165 548	105 290	110 447	240 186	199 533	211 963	209 372	225 771	228 619	227 893
Provisions	12 574	10 184	11 531	19 803	19 718	14 762	15 200	16 203	17 137	16 604
Other current liabilities	425 148	263 293	154 020	168 035	197 672	166 330	174 499	173 686	175 421	177 795
Total current liabilities	948 619	557 188	590 348	615 787	811 697	739 432	665 310	703 097	728 755	770 887
TOTAL LIABILITIES	1 855 296	1 453 513	2 048 605	2 269 023	2 416 474	2 625 786	2 576 756	2 771 255	2 851 069	3 046 201
Total liabilities and equity	4 393 793	4 470 481	5 327 417	5 693 064	6 432 131	7 049 335	7 199 638	7 670 346	7 907 334	8 370 333

Appendix E3: Cash Flow Projections

Cash Flow Statement										
In KMAD	2016	2017	2018	2019	2020	2021F	2022F	2023F	2024F	2025F
Net Income	169 271	426 709	380 254	213 134	17 597	308 122	381 357	448 694	465 727	493 538
Amortization and provision expense	11 318	13 012	299	(4 688)	13 503	(10 327)	(4 060)	(4 323)	(4 812)	(5 467)
Income Tax	53 023	51 901	52 107	63 396	50 055	58 858	61 157	60 386	60 170	60 553
Net borrowing cost rested in financing	32 665	44 946	52 342	78 213	85 919	90 259	95 544	100 247	105 913	111 547
Gain or loss on revaluation of investment prope	(45 083)	(318 487)	(286 401)	(99 446)	56 028	173 029	188 735	203 924	204 123	213 584
Gross Cash Flows from operations	220 015	209 205	198 601	250 609	223 078	619 941	722 732	808 928	831 121	873 755
Movements in Working Capital	68 120	(76 930)	(146 217)	(152 241)	(57 026)	(72 859)	(101 055)	(105 879)	(97 812)	(86 926)
Paid Taxes	(42 758)	(26 888)	(41 185)	(32 054)	(48 523)	(19 386)	(17 202)	(15 795)	(17 365)	(13 478)
Net Cash Flows from operations	245 377	105 387	11 199	66 314	117 529	527 696	604 476	687 253	715 944	773 350
Disbursements related to investment propertie	(230 894)	(126 715)	(357 259)	(372 869)	(218 286)	(261 205)	(267 267)	(295 377)	(283 001)	(265 027)
Interest received	31 997	11 406	5 770	7 764	5 886	6 191	5 667	5 768	5 397	5 290
Net Cash Flows from Investing Activities	(98 246)	(40 623)	(352 784)	(364 911)	(212 627)	(255 013)	(261 600)	(289 610)	(277 604)	(259 737)
Capital increase of the parent company	462 214	9 000			722 561					
Debt Issuance	115 898	106 912	977 216	347 444	244 612	396 028	296 028	470 320	383 174	526 747
Debt payment	(137 375)	(167 211)	(285 575)	(299 346)	(264 700)	(312 645)	(317 904)	(361 054)	(368 602)	(402 316)
Interest paid	(45 005)	(37 807)	(45 228)	(73 181)	(71 898)	(68 362)	(68 572)	(83 466)	(82 827)	(88 451)
Dividends paid		(113 561)	(118 407)	(124 383)	(151 639)	(131 475)	(139 153)	(168 573)	(198 425)	(202 852)
Net Cash Flow From Financing Activities	395 732	(202 667)	528 006	(149 466)	608 950	(116 454)	(229 602)	(142 774)	(266 681)	(166 872)
TOTAL CHANGE IN CASH FLOW	542 863	(137 903)	186 421	(448 063)	513 852	156 229	113 274	254 870	171 660	346 741
Cash & Cash equivalents at the beginning of the	(20 113)	522 700	384 799	571 218	123 712	637 563	150 024	168 605	512 231	231 032
Maretable securities	537 337	62 769	312 753	50 900	568 068	56 835	53 867	438 927	146 397	292 662
Bank account	109 625	325 300	25 382	72 523	95 905	125 747	128 971	89 706	102 570	108 580
Cash	641	850	764	1 113	749	749	749	749	749	749
Cash & cash equivalents	647 626	388 940	580 699	124 536	664 722	183 331	183 588	529 382	249 716	401 991
Bank overdraft	(124 926)	(4 141)	(9 481)	(824)	(27 159)	(33 306)	(14 982)	(17 150)	(18 684)	(22 256)
Cash & Cash equivalents at the beginning end of	522 700	384 799	571 218	123 712	637 563	150 024	168 605	512 231	231 032	379 734
Changes in Cash and Cash equivalents	542 813	(137 901)	186 419	(447 506)	513 851	(487 539)	18 581	343 626	(281 199)	148 702

Appendix E4 : DCF Valuation Model

We estimated the enterprise value (EV) based on DCF Model by discounting the projected free cash flows divided into:

- The present value of all free cash flows over the forecasting time horizon (from 2021 to 2025);
- The terminal value (TV) represents the value of the company at the end of the forecasting period. which we estimated based on Gordon Shapiro method by discounting to infinity the 2026p free cash flow.

$$Terminal\ Value = \frac{2026F\ Free\ Cash\ Flow}{WACC - g}$$

WACC Assumptions			
Risk-Free Rate	2,499%	Debt	2 089 006
Market Risk premuim	6,46%	Stock Price	404
unlevergeed Beta	0,52	Shares Outstanding	10 646
Levered Beta	0,79	Equity Value	4 300 984
Cost of Equity	7,60%	Debt to Equity	48,57%
Cost of Debt	4,80%	Income Tax Rate	31,00%
WACC		6,20%	

Terminal Growth Rate Calculation	Proxy	Weight
LT Morocco GDP Growth (IMF)	3,1%	30,0%
Demographic growth (worldbank)	1,1%	25,0%
Growth of the construction sector (GlobalDa	3,2%	25,0%
Inflation Growth (IMF)	1,7%	20,0%
Weighted Average Terminal Growth Rate	2,3%	100%

Market Risk Premuim Calculation	Proxy	Weight
MRP of CFG Research (October 2021)	5,2%	25,0%
MRP of Attijari Intermédiation (May 2021)	5,6%	25,0%
BMCE Capital Research (October 2021)	7,9%	25,0%
Aswath Damodaran MRP	7,1%	25,0%
Weighted Average Market Risk Premuim	6,46%	100%

G: Perpetual growth rate set at 2%, in line with Morocco GDP Growth forecasts by the International Monetary Fund (IMF), the demographic growth published by the WorldBank, the growth of construction and retail sectors and the inflation rate which gave a g of 2.3%. (We taper it down to 2% as the first Omicron case was identified in Morocco).

Weighted Average Cost of Capital (WACC): was set at 6.2% The discount rate used is equal to the Weighted Average Cost of Capital (WACC). This is calculated as follows:

$$WACC = Ce \times \frac{Equity}{Equity + Debt} + Cd \times (1 - T) \times \frac{Dbet}{Equity + Debt}$$

- Cost of Equity: The cost of equity amounts to 7.60%. This is calculated as follows:
$$Cost\ of\ Equity = Rf + (\beta \times MRP)$$

Risk-Free Rate: It was determined based on the Moroccan 2Y average of 10-year Treasury bill rate on the secondary market as of December 31 2021.

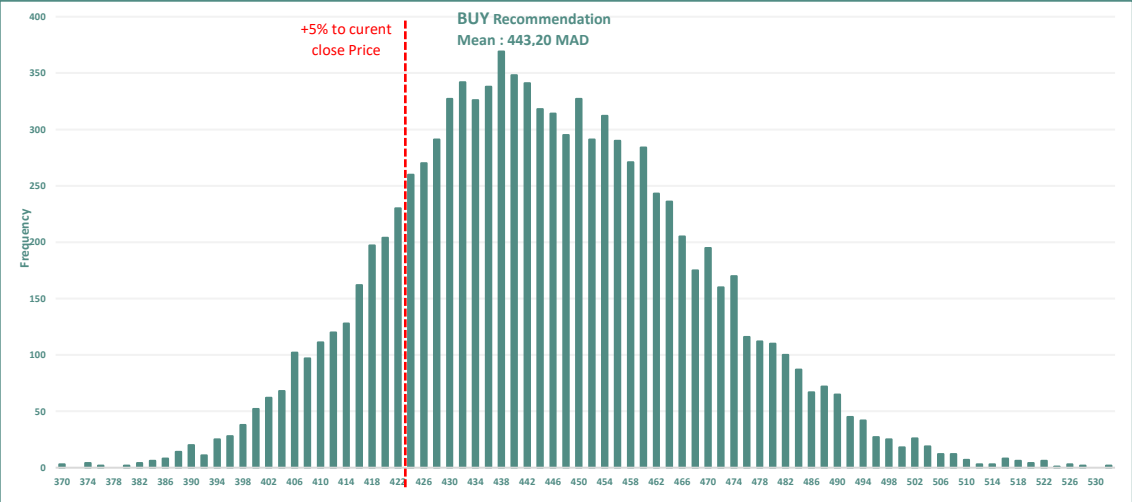
Beta: based on unleveraged Beta of 0.52 of a comparable company (Immorent SA), with a Debt to Equity of 66% according to the company's management.

Market Risk Premium: set at 6.46 Market Risk Premium was determined based on the average between 4 proxies (see Table above).
- Cost of Debt: the cost of debt of 4.8% before tax is based on CFG estimates.

DCF Analysis					
(In KMAD)	2021F	2022F	2023F	2024F	2025F
Unlevered Free Cash Flow					
EBIT	435 953	516 559	587 613	609 879	643 488
+ Depreciation & Amortization	5 226	5 478	5 524	5 929	6 216
+ Changes in Working Capital	72 859	101 055	105 879	97 812	86 926
- Capital Expenditures	(261 205)	(267 267)	(295 377)	(283 001)	(265 027)
- Taxes (EBIT * Tax Rate)	(108 988)	(129 140)	(146 903)	(152 470)	(160 872)
Total Free Cash Flow	143 845	226 685	256 736	278 150	310 731
Net Present Value Calculation	1 216 147				
Period	1	2	3	4	5
Discounted Free Cash Flow	135 447	200 991	214 347	218 668	230 020
Total Present Value of FCF	999 472				

Present Value	
Last Free-Cash Flow	310 731
Growth Rate	2,00%
Terminal Value	7 546 702,61
Net Present Value of TV	5 586 489
Total Net Present Value of CF	999 472
Net Debt	1 868 313
Equity Value	4 717 649
Share Outstanding	10 646
Estimated Equity Value per Share	443,14
% Upside (Downside) to last close	9,42%

Appendix E5 : Monte Carlo Simulation



Summary Analysis		Percentile	Price
Max	580,63	5%	407,55
Min	364,80	10%	414,94
Mean	442,39	15%	419,90
Variance	552,13	20%	424,11
Sd	23,50	25%	427,45
Count	10000	30%	430,96
Skewness	0,227	35%	434,16
Kurtosis	0,143	40%	437,17
		45%	440,14
		50%	443,20
		55%	446,08
		60%	449,06
		65%	452,21
		70%	455,63
		75%	459,25
		80%	463,20
		85%	467,94
		90%	473,69
		95%	483,70

We performed a 10 000 runs Monte Carlo simulation based on our estimates of the WACC and the Terminal Growth rate, using a standard deviation of 15 bps for the WACC and 5bps for the Terminal Growth standard deviation. It resulted a mean of 442 MAD, an upside of 9.6% to current close. Besides, 80% of results suggested a **BUY** recommendation (when price it above 424MAD, a 5% above current price which is 404MAD as of 31 December 2021).

Appendix D6: Dividend Discounted Valuation Model

Dividend Discount Model										
(In KMAD)	Historical Results					Forecast Period				
	2016	2017	2018	2019	2020	2021F	2022F	2023F	2024F	2025
Net Income	169 271	426 709	380 254	213 134	17 597	308 122	381 357	448 694	465 727	493 538
FFO		139 303	142 842	156 316	131 721	163 710	204 092	240 809	248 881	264 249
Payout Ratio		81,52%	82,89%	79,57%	115,12%	85,00%	85,00%	85,00%	85,00%	85,00%
Dividends	113 561	118 407	124 383	151 626	131 475	139 153	173 479	204 688	211 549	224 612
Shares Outstanding	7 689	8 112	8 112	8 112	10 646	10 646	10 646	10 646	10 646	10 646
Dividends Per Share	14,77	14,60	15,33	18,69	12,35	13,07	16,30	19,23	19,87	21,10
Discount factor						0,94	0,89	0,83	0,79	0,74
PV of Dividends						131 030	153 815	170 891	166 309	166 270

WACC	6,20%
g	2,00%
Sum of PV of Dividends	788 316
Terminal Value of Dividends	4 038 195
Equity Value	4 826 510
Shares Out	10 646
Stock Price	453,36
% Upside (Downside) to last close	11,94%

Forecasted Dividends are aligned with Funds from Operations (FFO) projections, applying a conservative approach we forecast future dividends based on minimum payout ratio of Funds from Operations (FFO) set at 85%. Those dividends are discount based on the Weighted average cost of Capital WACC o 6.2% and the Terminal Value of Dividends is calculated as follows:

$$Terminal\ Value = \frac{2026F\ Dividend}{WACC - g}$$

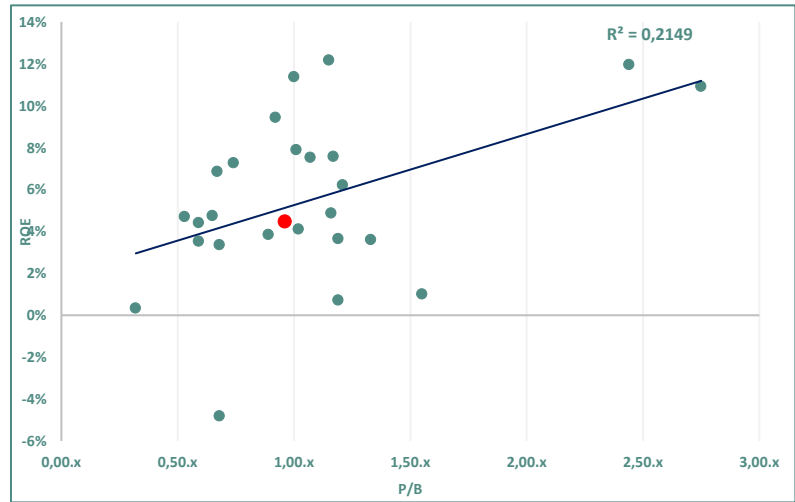
Appendix E6: Relative Valuation Model

Country	Company Name	Price (in MAD)	Market Cap (in Millions MAD)	EV/Sales (x)	EV/EBITDA (x)	P/E (FY) (x)	P/B (FY) (x)
Morocco	ARADEI Capital	405	4 252	17,78.x	24,01.x	14,52.x	1,01.x
	Immorente	102	927	13,97.x	25,19.x	29,56.x	1,19.x
South Africa	Acsion Ltd	341,6	1 333	3,68.x	7,74.x	27,00.x	0,32.x
Mauritius	Ascencia Ltd	6,34	3 091	12,89.x	20,78.x	12,18.x	1,55.x
Nambia	Vukile Property Fund Limited	751,16	7 178	11,69.x	16,10.x	7,51.x	0,68.x
France	Altareit SCA	724,98	11 933	0,57.x	9,30.x	15,60.x	1,17.x
	Frey SA	341,72	9 766	16,00.x	28,43.x	21,44.x	1,21.x
	Selectirente SA	985,33	4 141	24,54.x	29,66.x	28,36.x	1,33.x
	Mercialys	101,12	9 271	13,30.x	16,50.x	11,81.x	1,15.x
	Fonciere Inea SA	482,18	4 111	14,70.x	25,08.x	17,34.x	0,92.x
	Patrimoine et Commerce SCA	167,72	2 481	13,96.x	16,90.x	9,39.x	0,65.x
UK	Saul Centers, Inc.	467,04	11 074	10,93.x	16,64.x	26,68.x	2,75.x
	Great Portland Estates plc	86,07	22 619	26,58.x	26,13.x	28,80.x	0,89.x
	Hammerson	389,42	16 366	13,97.x	25,19.x	23,52.x	1,19.x
Spain	Realia Business SA	8,07	6 603	9,18.x	21,73.x	16,14.x	0,59.x
	Lar Espana Real Estate SOCIMI SA	52,73	4 660	12,23.x	19,71.x	11,72.x	0,53.x
	Zambal Spain Socimi SA	12,68	7 883	13,77.x	16,93.x	26,43.x	1,02.x
	Olimpo Real Estate SOCIMI SA	11,01	2 181	17,01.x	22,52.x	26,39.x	1,16.x
Italy	COIMA RES SpA SIIQ	77,99	2 839	17,24.x	14,57.x	12,50.x	0,59.x
Poland	Echo Investment SA	10,05	4 119	4,78.x	18,00.x	12,60.x	1,07.x
	Develia SA	5,7	2 576	2,39.x	8,67.x	9,57.x	0,67.x
	Globe Trade Centre SA (GTC)	15,5	1 971	11,18.x	18,64.x	13,71.x	0,74.x
	Capital Park SA	21,72	2 375	24,61.x	25,53.x	23,01.x	1,01.x
Russia	Raven Property Group Limited	3,96	2 323	6,43.x	12,92.x	11,87.x	0,68.x
India	Nesco Ltd	78,55	5 424	12,89.x	20,38.x	25,05.x	2,44.x
Israel	Adgra Invstment and Development Ltd	2254,36	3 628	28,21.x	27,03.x	19,00.x	1,00.x
Min				0,57.x	7,74.x	7,51.x	0,32.x
25th Percentile				10,49.x	16,40.x	12,10.x	0,68.x
Median				13,54.x	20,05.x	16,74.x	1,01.x
75th Percentile				17,07.x	25,19.x	26,40.x	1,19.x
Max				28,21.x	29,66.x	29,56.x	2,75.x

	P/E (FY)	P/BV (FY)
25th Percentile	348,70	299,70
Industry peers Median	482,32	446,78
75th Percentile	760,64	526,40
Target Stock Price	464,55	
% Upside (Dwonside) to last close	14,70%	

We evaluate Aradei Capital’s shares based on a comparable analysis of industry peers in both Developed markets and also emerging and frontier markets. Our selection was based on (i) the size of the companies in terms of Market Capitalization, (ii) the company’s portfolio which have to contain at least 50% of commercial real estate assets, and finally (iii) the growth, the political and the legal stability of the country.

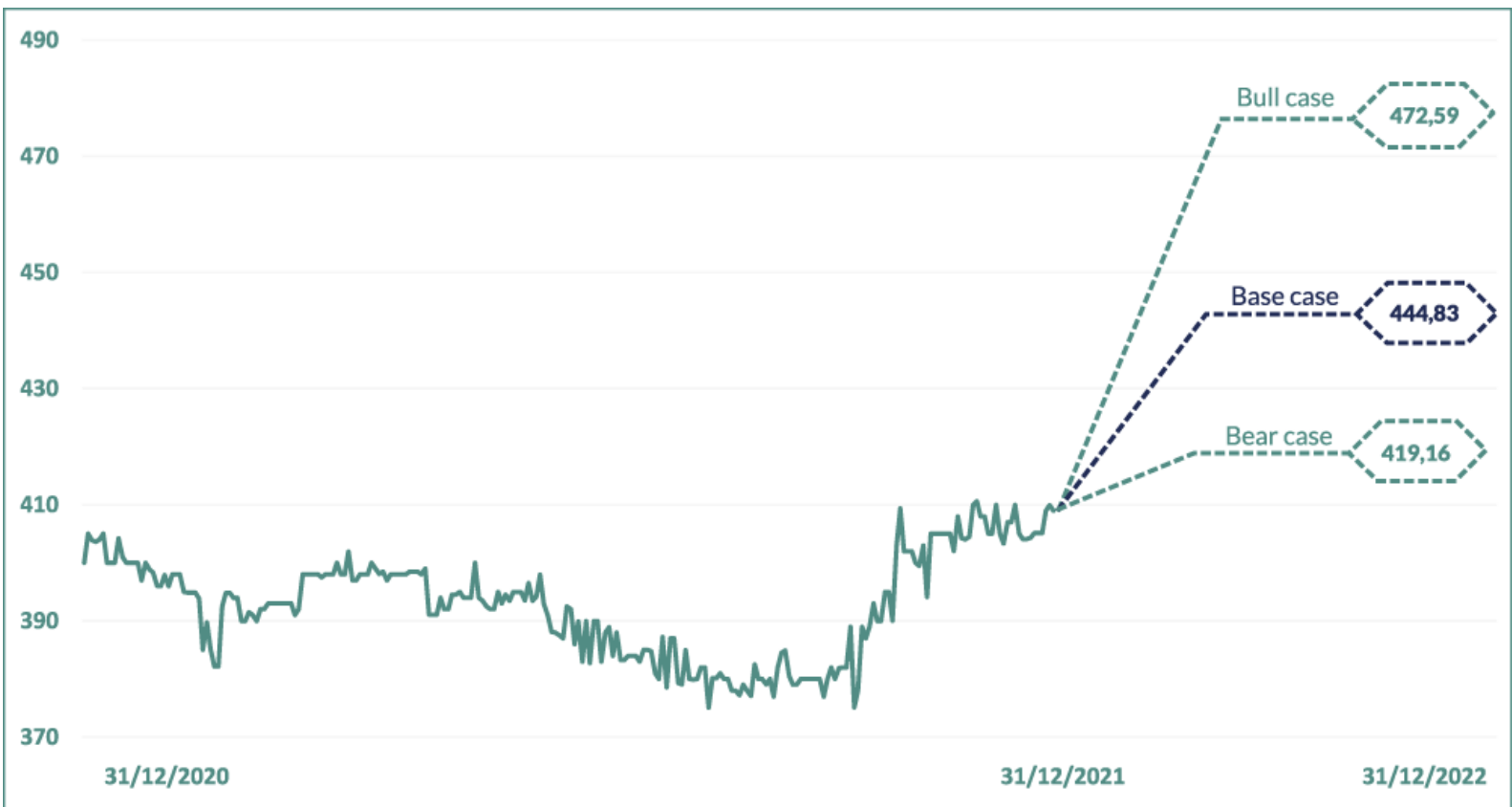
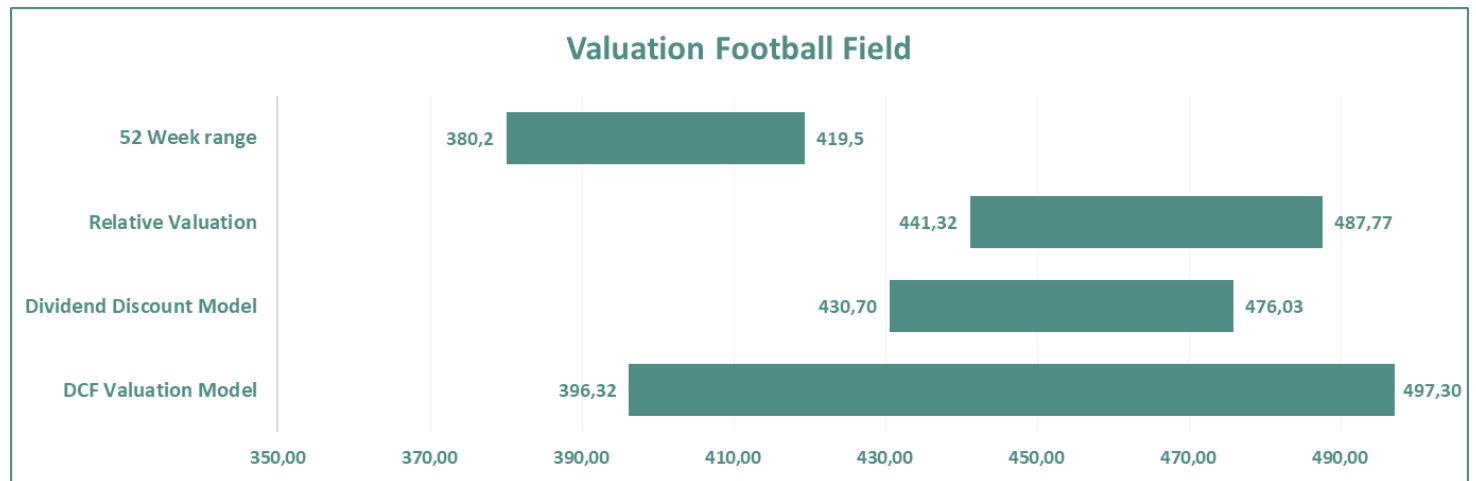
Appendix E7: Regression Analysis



SUMMARY OUTPUT								
Regression Statistics								
Multiple R	0,46263981							
R Square	0,214035594							
Adjusted R Square	0,179863229							
Standard Error	0,495956335							
Observations	25							
ANOVA								
	df	SS	MS	F	Significance F			
Regression	1	1,540628207	1,540628207	6,263411715	0,019876217			
Residual	23	5,657371793	0,245972687					
Total	24	7,198						
	Coefficients	Standard Error	t Stat	P-value	Lower 95%	Upper 95%	Lower 95,0%	Upper 95,0%
Intercept	0,712431875	0,170663692	4,174478269	0,000364486	0,359387129	1,065477	0,359387129	1,065476621
	0,0447	6,333700074	2,530766132	2,502680906	0,019876217	1,098411456	11,56899	1,098411456

Football Field	Q1	Median	Q3
DCF Valuation Model	396,32	443,14	497,30
Dividend Discount Model	430,70	453,36	476,03
Relative Valuation	441,32	464,55	487,77
52 Week range	380,2	399,85	419,5

Valuation Matrix	Weightings	Share Price
DCF Valuation Model	35%	443,14
Dividend Discount Model	35%	453,36
Relative Valuation	30%	464,55
Target Price		453,14
% Upside (Dwonside) to last		11,84%



Appendix G: Bibliography

Aradei Capital Annual Reports. From: <https://www.aradeicapital.com/wp-content/uploads/2021/07/RAP.pdf>

REITS AND THEIR POTENTIAL TO INCREASE INVESTMENT IN AND ACCESS TO AFFORDABLE HOUSING IN AFRICA MAIN REPORT. Centre for Affordable Housing Finance. From: <http://housingfinanceafrica.org/app/uploads/Final-Reits-Study.pdf>

AFRICA REPORT 2017/2018; REAL ESTATE MARKETS IN A CONTINENT OF GROWTH AND OPPORTUNITY. From: <https://content.knightfrank.com/research/155/documents/en/africa-report-201718-4576.pdf>

HOUSING FINANCE IN AFRICA A review of Africa's housing finance markets 2021 YEARBOOK. From: https://housingfinanceafrica.org/app/uploads/2021/12/2021_CAHF-yearbook-final-compressed.pdf

Global Property Guide; Property prices and key investment issues. From: <https://www.globalpropertyguide.com/Middle-East/Morocco>

Construction in Morocco - Key Trends and Opportunities to 2025 (H2 2021). From: <https://www.giiresearch.com/report/gd302283-construction-morocco-key-trends-opportunities.html>

Morocco Construction Industry Databook Series - Market Size & Forecast (2016 - 2025) by Value and Volume. From: <https://www.researchandmarkets.com/reports/4747855/morocco-construction-industry-databook-series#cat-pos-1>

Caixabankresearch - Country outlook Morocco - Closing date of this issue: July 2019. From: <https://www.caixabankresearch.com/sites/default/files/content/file/2019/09/fp-marruecos-en.pdf>